NEW ISSUE; BOOK ENTRY

Current Insurer Rating: Standard & Poor's : "AA" (Stable Outlook)

Current Underlying Rating: Standard & Poor's: "BBB" (Stable Outlook)

SOUTH DALLAS WATER AUTHORITY

$385,000
WATER AND SEWER REVENUE BONDS
(FEDERALLY TAXABLE),
SERIES 2022-A
("SERIES 2022-A BONDS")

$3,570,000
WATER AND SEWER REVENUE BONDS,
SERIES 2022-B
("SERIES 2022-B BONDS")

Issuer of Bonds. The Series 2022-A Bonds and Series 2022-B Bonds referred to above and collectively referred to hereinafter as the "Series 2022 Bonds" are being issued by South Dallas Water Authority, Inc., a public corporation under the laws of the State of Alabama (the "Authority").

Authorizing Documents. The Series 2022 Bonds are being issued pursuant to a Trust Indenture dated as of January 25, 2022 (the "Indenture"), between the Authority and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee"), and an authorizing resolution (the "Authorizing Resolution") adopted by the governing body of the Authority authorizing the issuance of the Series 2022 Bonds.

Use of Proceeds. Proceeds of the Series 2022-A Bonds will be used by the Authority to advance refund on a taxable basis the Authority's Subordinated Water Revenue Bond, Series 2014-DWSRF-DL (the "SRF Bond") and to finance the costs of issuance for the Series 2022-A Bonds. Proceeds of the Series 2022-B Bonds will be used to currently refund on a tax-exempt basis the Authority's Water Revenue Bond, Series 1989 (the "Series 1989 Bonds"), Water Revenue Bond, Series 2009-A (the "Series 2009-A Bond"), Water Revenue Bond, Series 2009-B (the "Series 2009-B Bond"), and to finance the costs of issuance for the Series 2022-B Bonds.

Source of Payment. The Series 2022 Bonds are limited obligations of the Authority payable, on a parity of lien with any Additional Bonds (as defined in the Indenture) hereafter issued constituting future parity obligations, from the net revenues from the Authority's waterworks distribution system and its sanitary sewer system (collectively, the "System") remaining after payment of the reasonable and necessary costs of maintaining and operating the System.

Pricing and Payment Terms. See "PRICING AND PAYMENT TERMS" on the inside cover page.

Insurance. The scheduled payment of principal of and interest on the Series 2022 Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Series 2022 Bonds by **BUILD AMERICA MUTUAL ASSURANCE COMPANY.**

Form and Date of Delivery. The Series 2022 Bonds are being initially issued in book entry form under the rules and regulations of The Depository Trust Company ("DTC"). The Series 2022 Bonds are expected to be delivered on or about January 25, 2022.

Legal Counsel. Maynard Cooper & Gale, P.C. has served as bond counsel and disclosure counsel to the Authority and will deliver its opinion with respect to the Series 2022 Bonds in substantially the form attached as APPENDIX B.

Tax Status. Under current law, interest on the Series 2022-B Bonds (i) will not be included in gross income of the holders for purposes of federal income taxation and (ii) will not be an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, subject to limitations or exceptions described under "TAX STATUS". Interest on the Series 2022-A Bonds is not excludable for federal income taxation. The Series 2022 Bonds are exempt from present State of Alabama income taxation. The opinion of bond counsel will address these aspects of the tax status of the Series 2022 Bonds and should be read in its entirety for a complete understanding of the scope of the opinion and the conclusions expressed.

Bank Qualified. The Authority will designate the Series 2022-B Bonds to be "qualified tax-exempt obligations" within the meaning of Section 265(b)(3) of the Internal Revenue Code of 1986, as amended.

Risk Factors. For a description of certain risk factors involved in an investment in the Series 2022 Bonds, see "RISK FACTORS".

Underwriter. The Series 2022 Bonds are being purchased from the Authority by Frazer Lanier Company, Incorporated.

FRAZER LANIER

Interest Rate Mode. The Series 2022 Bonds are being issued as fixed rate bonds.

Maturities and Interest Rates for Series 2022 Bonds. The Series 2022 Bonds mature, subject to prior redemption, on January 1 in the years and amounts and bear interest at the applicable rate per annum set forth in the tables above.

Date of Series 2022 Bonds. The Series 2022 Bonds will be dated as of the date of their initial delivery.

Date of Official Statement. The date of this Official Statement is January 6, 2022.

Interest Payment Dates. Interest on the Series 2022 Bonds is payable on January 1 and July 1 of each year, first interest payment date being July 1, 2022.

Authorized Denominations. The Series 2022 Bonds may be issued in denominations of $5,000 or any integral multiple thereof.

Redemption Prior to Maturity. The Series 2022 Bonds are subject to redemption prior to maturity, including scheduled mandatory redemption of Term Bonds. See "THE SERIES 2022 BONDS—Redemption Prior to Maturity."

Build America Mutual Assurance Company ("BAM") makes no representation regarding the Series 2022 Bonds or the advisability of investing in the Series 2022 Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "Bond Insurance" and "Appendix E - Specimen Municipal Bond Insurance Policy".

PRICING AND PAYMENT TERMS

Water and Sewer Revenue Bonds (Federally Taxable), Series 2022-A

Term Bonds

$215,000 Term Bonds; Maturing on January 1, 2024; Interest Rate: 1.360%; Priced to Yield 1.360%; CUSIP No. 83756UAA3

$170,000 Term Bonds; Maturing on January 1, 2026; Interest Rate: 2.110%; Priced to Yield 2.110%; CUSIP No. 83756UAB1

Water and Sewer Revenue Bonds, Series 2022-B

Term Bonds

$280,000 Term Bonds; Maturing on January 1, 2028; Interest Rate: 1.500%; Priced to Yield 1.620%; CUSIP No. 83756UAC9

$235,000 Term Bonds; Maturing on January 1, 2030; Interest Rate: 1.750%; Priced to Yield 1.850%; CUSIP No. 83756UAD7

$245,000 Term Bonds; Maturing on January 1, 2032; Interest Rate: 3.000%; Priced to Yield 1.940%; CUSIP No. 83756UAE5

$260,000 Term Bonds; Maturing on January 1, 2034; Interest Rate: 3.000%; Priced to Yield 2.010%; CUSIP No. 83756UAF2

$275,000 Term Bonds; Maturing on January 1, 2036; Interest Rate: 3.000%; Priced to Yield 2.130%; CUSIP No. 83756UAG0

$295,000 Term Bonds; Maturing on January 1, 2038; Interest Rate: 3.000%; Priced to Yield 2.190%; CUSIP No. 83756UAH8

$315,000 Term Bonds; Maturing on January 1, 2040; Interest Rate: 3.000%; Priced to Yield 2.250%; CUSIP No. 83756UAJ4

$335,000 Term Bonds; Maturing on January 1, 2042; Interest Rate: 3.000%; Priced to Yield 2.310%; CUSIP No. 83756UAK1

$925,000 Term Bonds; Maturing on January 1, 2047; Interest Rate: 2.625%; Priced to Yield 2.700%; CUSIP No. 83756UAL9

$405,000 Term Bonds; Maturing on January 1, 2049; Interest Rate: 2.625%; Priced to Yield 2.770%; CUSIP No. 83756UAM7

SOUTH
DALLAS WATER
AUTHORITY

DIRECTORS

Theodore "Teddy" Pouncey, Chairman
Curtis Jackson, Vice Chairman
Duffy Casey, Treasurer
Arthur Brown

SYSTEM MANAGERS

Torrey Jones, Regional Manager
Rodney Duncan, Project Manager
Sarah Jean McAteer, Business Manager

BOND COUNSEL

Maynard Cooper & Gale, P.C.
Birmingham, Alabama

UNDERWRITER

Frazer Lanier Company, Incorporated
Montgomery, Alabama

THE INFORMATION IN THIS OFFICIAL STATEMENT HAS BEEN OBTAINED FROM SOURCES WHICH ARE CONSIDERED DEPENDABLE AND WHICH ARE CUSTOMARILY RELIED UPON IN THE PREPARATION OF SIMILAR OFFICIAL STATEMENTS, BUT SUCH INFORMATION IS NOT GUARANTEED AS TO ACCURACY OR COMPLETENESS. ALL ESTIMATES AND ASSUMPTIONS CONTAINED HEREIN ARE BELIEVED TO BE RELIABLE, BUT NO REPRESENTATION IS MADE THAT SUCH ESTIMATES OR ASSUMPTIONS ARE CORRECT OR WILL BE REALIZED. NO PERSON, INCLUDING ANY BROKER, DEALER OR SALESMAN, HAS BEEN AUTHORIZED TO GIVE ANY INFORMATION OR TO MAKE ANY REPRESENTATION OTHER THAN THOSE CONTAINED IN THIS OFFICIAL STATEMENT, AND IF GIVEN OR MADE, SUCH OTHER INFORMATION OR REPRESENTATIONS MUST NOT BE RELIED UPON AS HAVING BEEN AUTHORIZED BY THE AUTHORITY. ANY INFORMATION OR EXPRESSIONS OF OPINION HEREIN ARE SUBJECT TO CHANGE WITHOUT NOTICE AND NEITHER THE DELIVERY OF THIS OFFICIAL STATEMENT NOR ANY SALE HEREUNDER SHALL UNDER ANY CIRCUMSTANCES CREATE AN IMPLICATION THAT THERE HAS BEEN NO CHANGE AS TO THE AFFAIRS OF THE AUTHORITY SINCE THE DATE HEREOF.

TABLE OF CONTENTS

Page

INTRODUCTION 8
DEFINITIONS 9
THE SERIES 2022 BONDS 10
Book-Entry Only System; Registration, Payment and Transfer 10
Discontinuation of Book-Entry System; Registration, Payment, Transfer 12
Optional Redemption 13
Mandatory Redemption of Series 2022-A Bonds 13
Mandatory Redemption of Series 2022-B Bonds 14
Notice; Selection 16
Authority for Issuance. 17
SECURITY FOR SERIES 2022 BONDS; SOURCE OF PAYMENT 17
BOND INSURANCE 17
Bond Insurance Policy 17
Build America Mutual Assurance Company 17
INITIAL RATINGS 20
DEBT SERVICE COVERAGE REQUIREMENTS 20
Debt Service Requirements 20
General Financial Information and Summary of Revenues and Expenses 20
Debt Service on the Series 2022 Bonds 22
Projected Debt Service Coverage on the Series 2022 Bonds 23
Qualification of Projections 23
ESTIMATED SOURCES AND USES OF FUNDS 23
THE AUTHORITY 24
General 24
Number of Water Customers 26
Major Water Customers 26
Water and Sewer Rates 27
Billing Procedure 27
Rate-Making Authority 28
Water Use Regulation 28
GENERAL INFORMATION ABOUT THE SERVICE AREA AND THE COUNTY 28
Geographic Information 29
UNDERWRITING 35
LEGAL MATTERS 35
TAX EXEMPTION FOR SERIES 2022-B BONDS 35
INVESTMENT INFORMATION FOR FINANCIAL INSTITUTIONS PERTAINING TO SERIES 2022-B BONDS 36
LITIGATION 36

FEDERAL BANKRUPTCY CODE 37
APPENDICES 37
RISK FACTORS.....38
CONTINUING DISCLOSURE UNDERTAKING 39
COMPLIANCE WITH PRIOR CONTINUING DISCLOSURE OBLIGATIONS 40
DISCLAIMERS AND OTHER MISCELLANEOUS MATTERS.....40

APPENDIX A - Audited Financial Statements of the Authority for the Fiscal Year ended December 31, 2020
APPENDIX B - Summary of the Indenture
APPENDIX C - Opinion of Bond Counsel
APPENDIX D - Certain Demographic Information Pertaining to Dallas County, Alabama
APPENDIX E – Specimen Municipal Bond Insurance Policy

$385,000
WATER AND SEWER
REVENUE BONDS
(FEDERALLY TAXABLE),
SERIES 2022-A
("SERIES 2022-A BONDS")

$3,570,000
WATER AND SEWER
REVENUE BONDS,
SERIES 2022-B
("SERIES 2022-B BONDS")

INTRODUCTION

This Official Statement of the South Dallas Water Authority, Inc. (the "Authority"), and the appendices attached hereto are being furnished to provide certain information concerning the $385,000 aggregate principal amount Water and Sewer Revenue Bonds (Federally Taxable), Series 2022-A (the "Series 2022-A Bonds") and $3,570,000 Water and Sewer Revenue Bonds, Series 2022-B (the "Series 2022-B Bonds") (the Series 2022-A Bonds and Series 2022-B Bonds are collectively referred to hereinafter as the "Series 2022 Bonds") issued by the Authority.

The Authority is a public corporation organized under the laws of the State of Alabama (the "State") which owns and operates a water distribution system and a sanitary sewer system (as at any time constituted, collectively referred to as the "System") located primarily in the southern portion of Dallas County, Alabama, and certain area in unincorporated Lowndes County, Alabama. The Authority was originally incorporated in 1979 pursuant to the provisions of Chapter 88 of Title 11 of the CODE OF ALABAMA 1975, as amended.

The Series 2022 Bonds are being issued pursuant to a Trust Indenture dated as of January 25, 2022 (the "Indenture"), between the Authority and The Bank of New York Mellon Trust Company, N.A., as trustee (the "Trustee").

The Series 2022-A Bonds are being issued for the purposes of: (i) advance refunding on a federally taxable basis the Authority's SRF Bond, issued in the original aggregate principal amount of $490,000, and currently outstanding in the aggregate principal amount of $350,000; and (ii) paying the issuance costs for the Series 2022-A Bonds.

The Series 2022-B Bonds are being issued for the purposes of: (i) currently refunding on a tax-exempt basis the Authority's Series 1989 Bond, issued in the original aggregate principal amount of $3,529,000, and currently outstanding in the aggregate principal amount of $441,000; (ii) currently refunding on a tax-exempt basis the Authority's Series 2009-A Bond dated October 20, 2009, issued in the original aggregate principal amount of $2,610,000, and currently outstanding in the aggregate principal amount of $2,261,000; (iii) currently refunding on a tax-exempt basis the Authority's Series 2009-B Bond dated October 20, 2009, issued in the original aggregate principal amount of $919,000, and currently outstanding in the aggregate principal amount of $779,000; and (iv) paying the issuance costs for the Series 2022-B Bonds.

The Series 2022 Bonds will not constitute general obligations of or a charge against the general credit or taxing power of the State of Alabama, or any county or any municipality. The Authority has no taxing power. The Series 2022 Bonds will be limited obligations of the Authority payable, on a parity of lien with any "Additional Bonds" (as defined in the Indenture) hereafter issued as parity obligations, solely out of and secured by a pledge of the revenues from the System remaining after payment of the reasonable and necessary expenses of maintaining and operating the

System (the "Net System Revenues") and a nonforeclosable statutory mortgage lien on the System. See "SECURITY FOR SERIES 2022 BONDS; SOURCE OF PAYMENT".

The Authority also has outstanding a Water Revenue Bond, Series 2002-DWSRF-DL, outstanding in the approximate principal amount of $60,000 with a schedule maturity of February 1, 2023 (the "Series 2002 SRF Bond") which the Authority plans to retire and defease from its own cash simultaneously with the issuance of the Series 2022 Bonds.

In the Indenture the Authority has reserved the right to issue additional bonds payable from and secured by a pledge of the Net System Revenues on a parity of lien with the Series 2022 Bonds, subject to the terms and conditions set forth in the Indenture. See APPENDIX B – "SUMMARY OF THE INDENTURE—Additional Bonds."

All references to or summaries of contracts, documents or official acts are qualified by the exact terms of such contracts, documents or acts, each being an item of public record. So far as any statements are made in this Official Statement involving matters of opinion or estimates, whether or not expressly so stated, they are set forth as such and not as representations of fact, and no representation is made that any such estimates will be realized.

DEFINITIONS

Certain capitalized terms used frequently in this Official Statement and not defined in the foregoing Introduction shall have the following meanings:

"**Authority**" refers to the South Dallas Water Authority, Inc., and its successors.

"**Authorized Denominations**" means the amount of $5,000 and any integral multiple thereof for each maturity.

"**Beneficial Owner**" shall have the meaning set forth in the Section entitled "Book-Entry Only System; Registration, Payment and Transfer" herein.

"**Book-Entry System**" means a book-entry only system of evidence of purchase and transfer of beneficial ownership interests in the Series 2022 Bonds.

"**Business Day**" means any day other than a Saturday, a Sunday or any day on which the offices of the Trustee are authorized to be closed and are closed or on any day on which the payment systems of the Federal Reserve System are not operational.

"**Direct Participant or Direct Participants**" means securities brokers and dealers, banks, trust companies and clearing corporations which have access to the Book-Entry System.

"**Holder**" refers to a bondholder of a Series 2022 Bond.

"**Indirect Participant or Indirect Participants**" means a broker, dealer, bank or other financial institution for which the Securities Depository holds Series 2022 Bonds as securities depository through a Direct Participant.

"**Insurer**" or "**BAM**" means Build America Mutual Assurance Company.

"**Letter of Representation**" means the letter of representation signed between the Securities Depository and the Authority.

"**Policy**" means the municipal bond insurance policy issued by the Insurer insuring the payment when due of the principal of and interest on the Series 2022 Bonds.

"**Regular Record Date**" means, for each interest payment date, the 15th day (whether or not a Business Day) next preceding any interest payment date.

"**Securities Depository**" means The Depository Trust Company, a limited purpose trust company organized under the laws of the State of New York, and the successors and assigns thereof, and any substitute securities depository therefor that maintains a Book-Entry System for the Series 2022 Bonds.

"**Securities Depository Nominee**" means the Securities Depository or the nominee of such Securities Depository in whose name there shall be registered on the bond register for the Series 2022 Bonds to be delivered to such Securities Depository during the period in which the Series 2022 Bonds are held pursuant to the Book-Entry System.

"**Series 2022 Bonds**" collectively refers to the Authority's Water and Sewer Revenue Bonds (Federally-Taxable), Series 2022-A, dated January 25, 2022, and its Water and Sewer Revenue Bonds, Series 2022-B, dated January 25, 2022.

"**Trustee**" means The Bank of New York Trust Company, N.A., and its successors.

"**Underwriter**" means Frazer Lanier Company, Incorporated, and its successors.

THE SERIES 2022 BONDS

The Series 2022 Bonds will be issued as fully registered bonds, without coupons, in the denomination of $5,000 each or any integral multiple thereof for each maturity. The Series 2022 Bonds will mature on the dates and in the amounts set forth on the cover hereof and will bear interest at the per annum rates set forth on the cover of this Official Statement, payable on July 1, 2022 and each January 1 and July 1 thereafter.

Book-Entry Only System; Registration, Payment and Transfer

The Depository Trust Company, New York, New York ("DTC") will serve as initial Securities Depository under a Book-Entry System for the Series 2022 Bonds with no physical distribution of Series 2022 Bonds made to any owner of any Series 2022 Bond or Bonds. The ownership of one fully registered Series 2022 Bond will be registered in the name of Cede & Co., as initial Securities Depository Nominee. Except as provided below, so long as the Securities Depository or the Securities Depository Nominee is the registered owner of the Series 2022 Bonds, references herein to the holders, owners or registered owners of the Series 2022 Bonds shall mean the Securities Depository or the Securities Depository Nominee and shall not mean the Beneficial Owners (as defined below) of the Series 2022 Bonds.

DTC is a limited-purpose trust company organized under the New York Banking Law, a "banking corporation" under the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC was created to hold securities of its participants (the "Direct Participants") and to facilitate the clearance and settlement of securities transactions, such as transfers and pledges, among Direct Participants in such securities through electronic computerized book-entry changes in accounts of the Direct Participants, thereby eliminating the need for physical movement of securities certificates. Direct Participants include securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is owned by a number of Direct Participants and by the New York Stock Exchange, Inc., the American Stock Exchange, Inc., and the National Association of Securities Dealers, Inc. Access to the Book-Entry System of DTC is also available to others such as banks, brokers, dealers and trust companies that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (the "Indirect Participants"). The rules applicable to DTC and the Direct Participants are on file with the Securities and Exchange Commission.

Beneficial ownership interests in the Series 2022 Bonds may be purchased by or through Direct Participants. The holders of these beneficial ownership interests are hereinafter referred to as the "Beneficial Owners." Such Direct

Participants and the persons for whom they acquire interests in the Series 2022 Bonds as nominees will not receive a bond certificate, but each Direct Participant will receive a credit balance in the records of the Securities Depository in the amount of such Direct Participant's interest in the Series 2022 Bonds, which will be confirmed in accordance with standard procedures of the Securities Depository. Beneficial Owners of Series 2022 Bonds will not receive certificates representing their beneficial ownership interests in the Series 2022 Bonds, unless use of the Book-Entry System is discontinued as described below. Beneficial Owners will be treated in all respects as the owners of the Series 2022 Bonds. The deposit of the Series 2022 Bond with the Securities Depository and its registration in the name of the Securities Depository Nominee effect no change in beneficial ownership. The Securities Depository has no knowledge of the actual Beneficial Owners of the Series 2022 Bonds; the records of the Securities Depository reflect only the identity of the Direct Participants to whose accounts such Series 2022 Bonds are credited, which may or may not be the Beneficial Owners. The Direct Participants will remain responsible for keeping account of their holdings on behalf of their customers as Beneficial Owners.

During a period in which the Book-Entry System is in effect for the Series 2022 Bonds, the provisions of the Indenture shall be construed in accordance with the Letter of Representation and to give full effect to such Book-Entry System.

Transfers of beneficial interests in the Series 2022 Bonds which are registered in the name of the Securities Depository Nominee will be accomplished by book entries made by the Securities Depository and in turn by the Direct Participants and Indirect Participants who act on behalf of the Beneficial Owners of the Series 2022 Bonds. For every transfer and exchange of beneficial ownership in the Series 2022 Bonds, the Beneficial Owners may be charged a sum sufficient to cover any tax, fee or other governmental charge that may be imposed in relation thereto.

During the period in which the Book-Entry System is in effect for the Series 2022 Bonds the Authority and the Trustee shall treat the Securities Depository and the Securities Depository Nominee as the only registered owner of the Series 2022 Bonds for all purposes under the Indenture, including receipt of all principal of, purchase price of, and interest on the Series 2022 Bonds, receipt of notices, voting, and requesting or directing the Trustee to take or not to take, or consenting to, certain actions under the Indenture.

The Securities Depository may be expected to assign the consent or voting rights of the Securities Depository Nominee to those Direct Participants to whose accounts the Series 2022 Bonds are credited on the record date specified by the Securities Depository therefor. In the event of such assignment, the Authority, and the Trustee shall treat the assignees as the only registered owners of the Series 2022 Bonds for purposes of exercising such rights. Neither DTC nor Cede & Co. will consent or vote with respect to the Series 2022 Bonds. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority, as soon as possible after the said record date, for purposes of assigning such consent and voting rights to the Direct Participants.

Conveyance of notices and other communications by the Securities Depository to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners of the Series 2022 Bonds, will be governed by arrangements among the Securities Depository, Direct Participants, Indirect Participants and the Beneficial Owners, subject to any statutory and regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to the Securities Depository or the Securities Depository Nominee and redemption of Series 2022 Bonds shall be effected as provided in the Indenture and described herein.

Payment of principal of and interest on the Series 2022 Bonds will be made by the Authority or the Trustee to the Securities Depository or the Securities Depository Nominee, as registered owner of the Series 2022 Bonds. Payment of interest due on each interest payment date will be made for the account of the persons who are Beneficial Owners on the Regular Record Date for such interest payment date. Disbursement of such payments by the Securities Depository or the Securities Depository Nominee to Direct Participants shall be solely the responsibility of the Securities Depository and subsequent disbursements of such payments to the Beneficial Owners shall be solely the responsibility of the Direct Participants and, where appropriate, Indirect Participants. Upon receipt of moneys, the Securities Depository will credit immediately the accounts of the Direct Participants in accordance with their respective holdings shown on the records of the Securities Depository. Payments by Direct Participants and Indirect Participants to Beneficial Owners will be governed by standing instructions of the Beneficial Owners and customary practices, as is now the case with municipal securities held for the accounts of customers in bearer form or registered

in "street name." Such payments to the Beneficial Owners will be the sole responsibility of such Direct Participant or Indirect Participant and not of the Authority or the Trustee, subject to any statutory and regulatory requirements as may be in effect from time to time.

The Authority, the Trustee and the Underwriter cannot and do not give any assurances that the Direct Participants or the Indirect Participants will distribute to the Beneficial Owners of the Series 2022 Bonds (1) payments of principal or redemption price of, or interest on, the Series 2022 Bonds, (2) certificates representing an ownership interest or other confirmation of Beneficial Ownership interests in Series 2022 Bonds, or (3) redemption or other notices sent to the Securities Depository or the Securities Depository Nominee, as the registered owner of the Series 2022 Bonds, or that they will do so on a timely basis or that the Securities Depository or the Securities Depository Nominee, the Direct Participants or Indirect Participants will serve and act in the manner described in this Official Statement. All such payments to the Securities Depository or the Securities Depository Nominee of principal, interest, or redemption price on behalf of the Authority and the Trustee shall be valid and effectual to satisfy and discharge the liability of the Authority and the Trustee to the extent of the amounts so paid, and the Authority and the Trustee shall not be responsible or liable for payment to any Beneficial Owner by the Securities Depository or any Direct Participant or any Indirect Participant.

The Authority, the Trustee and the Underwriter will not have any responsibility or obligation to any Direct Participant, Indirect Participant or any Beneficial Owner or any other person with respect to: (1) the accuracy of any records maintained by the Securities Depository or any Direct Participant or Indirect Participant; (2) the payment by the Securities Depository, any Direct Participant or Indirect Participant, of any amount due to any Beneficial Owner in respect of the principal or redemption price of, and interest on, the Bonds; (3) the delivery or timeliness of delivery by the Securities Depository, any Direct Participant or Indirect Participant of any notice to any Beneficial Owner which is required or permitted under the terms of the Indenture to be given to Beneficial Owners; or (4) any consent given or other action taken by the Securities Depository or the Securities Depository Nominee, as owner.

In the event that (a) the Securities Depository determines not to continue to act as securities depository for the Series 2022 Bonds or (b) the Authority determines that the continuation of the Book-Entry System would adversely affect its interests or the interests of the Beneficial Owners of the Series 2022 Bonds, the Authority may appoint another qualified securities depository to administer the Book-Entry System or the Authority may discontinue the Book-Entry System. If the Authority appoints another securities depository to administer the Book-Entry System, the rules and procedures of such securities depository may differ from those described herein. If the Authority fails to identify another qualified securities depository, the Authority will cause the Trustee to authenticate and deliver fully registered Bonds to each Beneficial Owner. See "Discontinuation of Book-Entry System; Registration, Payment, Transfer" hereinafter.

In the event of an insolvency of the Securities Depository or if the Securities Depository has insufficient securities in its custody (e.g., due to theft or loss) to satisfy the claims of its Direct Participants or Indirect Participants with respect to deposited securities and is unable by application of (i) cash deposits and securities pledged to the Securities Depository to protect the Securities Depository against losses and liabilities; (ii) the proceeds of insurance maintained by the Securities Depository or its Direct Participants or Indirect Participants; or (iii) other resources, to obtain securities necessary to eliminate the insufficiency, no assurances can be given that Direct Participants or Indirect Participants will be able to obtain all of their deposited securities.

During a period in which the Book-Entry System is in effect for the Series 2022 Bonds in accordance herewith, the provisions of the Indenture and such Series 2022 Bonds shall be construed in accordance with the Letter of Representation and to give full effect to such Book-Entry System.

The information in this section concerning the Securities Depository and the Book-Entry System has been obtained from sources that the Authority believes to be reliable, but the Authority takes no responsibility for the accuracy thereof.

Discontinuation of Book-Entry System; Registration, Payment, Transfer

The Securities Depository may determine to discontinue Book-Entry System with respect to the Series 2022 Bonds at any time upon notice to the Authority and the Trustee and upon discharge of its responsibilities with respect

thereto under applicable law. Upon such notice the Book-Entry System for the Series 2022 Bonds will be discontinued unless a successor securities depository is appointed by the Authority. In addition, the Authority may discontinue the Book-Entry System for the Series 2022 Bonds at any time by reasonable notice to the Securities Depository.

In the event the Book-Entry System for the Series 2022 Bonds is discontinued, Series 2022 Bonds in certificated form in Authorized Denominations will be physically distributed to the owners of beneficial interests in the Series 2022 Bonds, the Series 2022 Bonds will be registered in the names of the owners thereof on the registration books of the Trustee pertaining thereto, the Trustee shall make payments of principal of and interest on the Series 2022 Bonds to the registered owners thereof as provided in the Series 2022 Bonds and the Indenture, and the following provisions with respect to registration, transfer and exchange of the Series 2022 Bonds by the registered owners thereof shall apply, subject to the further conditions set forth in the Indenture with respect thereto:

(a) The Series 2022 Bonds will be transferable only on the Bond register maintained at the designated corporate trust office of the Trustee. Upon surrender of a Series 2022 Bond to be transferred, properly endorsed, a new Series 2022 Bond will be issued to the designated transferee.

(b) The Series 2022 Bonds may be exchanged for other Series 2022 Bonds of the same maturity, of any Authorized Denominations and of a like aggregate principal amount, as requested by the holder surrendering the same.

Optional Redemption

The Series 2022-A Bonds are not subject to optional redemption.

The Series 2022-B Bonds maturing on January 1, 2034, and thereafter are subject to optional redemption on January 1, 2032, or any Business Day thereafter, at the option of the Authority, in whole or in part (and if in part in Authorized Denominations and such maturities as the Authority in its discretion shall select, and if a certain maturity will not be redeemed in its entirety, then said selection shall be made by the Trustee by lot or such other method of random selection) and for a redemption price equal to the principal amount of the Series 2022-B Bonds to be redeemed, plus accrued interest through the date of redemption, without premium or penalty.

Mandatory Redemption of Series 2022-A Bonds

(a) ***2024 Scheduled Mandatory Redemption.*** The Series 2022-A Bonds having a stated maturity on January 1, 2024 (the "2024 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2024 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2024 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2023	$105,000

$110,000 principal amount of the 2024 Term Bonds is scheduled to be retired at maturity (January 1, 2024).

(b) ***2026 Scheduled Mandatory Redemption.*** The Series 2022-A Bonds having a stated maturity on January 1, 2026 (the "2026 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2026 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2026 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2025	$110,000

$60,000 principal amount of the 2026 Term Bonds is scheduled to be retired at maturity (January 1, 2026).

Mandatory Redemption of Series 2022-B Bonds

(a) ***2028 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2028 (the "2028 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2028 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2028 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2026	$50,000
2027	115,000

$115,000 principal amount of the 2028 Term Bonds is scheduled to be retired at maturity (January 1, 2028).

(b) ***2030 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2030 (the "2030 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2030 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2030 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2029	$115,000

$120,000 principal amount of the 2030 Term Bonds is scheduled to be retired at maturity (January 1, 2030).

(c) ***2032 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2032 (the "2032 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2032 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2032 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2031	$120,000

$125,000 principal amount of the 2032 Term Bonds is scheduled to be retired at maturity (January 1, 2032).

(d) ***2034 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2034 (the "2034 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2034 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2034 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2033	$130,000

$130,000 principal amount of the 2034 Term Bonds is scheduled to be retired at maturity (January 1, 2034).

(e) ***2036 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2036 (the "2036 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2036 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2036 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2035	$135,000

$140,000 principal amount of the 2036 Term Bonds is scheduled to be retired at maturity (January 1, 2036).

(f) ***2038 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2038 (the "2038 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2038 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2038 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2037	$145,000

$150,000 principal amount of the 2038 Term Bonds is scheduled to be retired at maturity (January 1, 2038).

(g) ***2040 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2040 (the "2040 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2040 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2040 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2039	$155,000

$160,000 principal amount of the 2040 Term Bonds is scheduled to be retired at maturity (January 1, 2040).

(h) ***2042 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2042 (the "2042 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2042 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2042 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2041	$165,000

$170,000 principal amount of the 2042 Term Bonds is scheduled to be retired at maturity (January 1, 2042).

(i) ***2047 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2047 (the "2047 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2047 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2047 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2043	$175,000
2044	180,000
2045	185,000
2046	190,000

$195,000 principal amount of the 2047 Term Bonds is scheduled to be retired at maturity (January 1, 2047).

(j) ***2049 Scheduled Mandatory Redemption.*** The Series 2022-B Bonds having a stated maturity on January 1, 2049 (the "2049 Term Bonds") are subject to scheduled mandatory redemption, by lot, on January 1 in the years and in the aggregate principal amounts set forth below (subject to a credit for the principal amount of the 2049 Term Bonds then cancelled or redeemed and not previously claimed as a credit), at a redemption price for each 2049 Term Bond to be redeemed equal to the principal amount thereof, plus accrued interest thereon to the redemption date, without premium or penalty:

Year	Principal Amount To be Mandatorily Redeemed
2048	$200,000

$205,000 principal amount of the 2049 Term Bonds is scheduled to be retired at maturity (January 1, 2049).

Not later than the date on which notice of scheduled mandatory redemption is to be given, the Trustee shall select affected Term Series 2022 Bonds for redemption by lot; provided, however, that the Authority may, by timely notice delivered to the Trustee, direct that any or all of the following amounts be credited against the principal amount of Series 2022 Bonds scheduled for redemption on such date: (i) the principal amount of Term Bonds of the same series, maturity, interest rate and CUSIP number delivered by the Authority to the Trustee for cancellation and not previously claimed as a credit; (ii) the principal amount of Term Bonds of the same series, maturity, interest rate and CUSIP number previously redeemed (other than Term Bonds of the same series, maturity, interest rate and CUSIP number redeemed pursuant to the scheduled mandatory redemption requirement) and not previously claimed as a credit; and (iii) the principal amount of Term Bonds of the same series, maturity, interest rate and CUSIP number otherwise defeased and not previously claimed as a credit.

Notice; Selection

If less than all of the Series 2022 Bonds are to be redeemed during a period in which the Book-Entry System is in effect for the Series 2022 Bonds, the Authority shall designate the order and amount of maturities of the Series 2022 Bonds (or portions thereof) to be redeemed not less than 30 nor more than 60 days prior to the redemption date and, in accordance with the Letter of Representation, the Securities Depository may determine the amount of the interest of each Direct Participant in those of such Series 2022 Bonds to be redeemed, on the basis of the smallest Authorized Denomination of such Series 2022 Bonds, by lot or by such other method as the Securities Depository shall deem fair and appropriate. If less than all of the Series 2022 Bonds at the time outstanding are redeemed, during a period in which the Book-Entry System is not in effect for the Series 2022 Bonds, any redemption shall be in such order and amount of maturities as the Authority shall determine in its sole discretion. In the event that less than all of the principal of the Series 2022 Bonds is to be redeemed, the Trustee shall assign a number to each $5,000 principal portion of all the Series 2022 Bonds and shall, by process of random selection based upon such numbers, select the principal portion of Series 2022 Bonds to be redeemed. Prior notice of such redemption shall be given by registered

or certified mail to the Holder of each Series 2022 Bond, all or a portion of which is to be redeemed, not more than sixty (60) days or less than thirty (30) days prior to the proposed redemption date.

Authority for Issuance.

The Series 2022 Bonds are being issued by the Authority under the authority of the Constitution and laws of the State, including particularly Chapter 88 of Title 11 of the Code of Alabama 1975, Section 11-88-1 et seq. (the "Enabling Law").

The Enabling Law authorizes the incorporation in the State of public corporations for the purposes of operating water systems, sanitary sewer systems, fire protection systems, or any of them. Such corporations are empowered, among other things, to acquire, purchase, construct, operate, maintain, enlarge, extend and improve any system or systems the operation of which is provided for in the certificate of incorporation of such corporation; to refund outstanding bonds; to borrow money for any corporate function and to issue in evidence of such borrowing interest-bearing bonds payable solely from the revenues derived from the operation of any one or more of such systems; and to pledge for payment of its bonds any revenues from which such bonds are made payable and to pledge or otherwise convey as security for such bonds the revenues of such system or systems.

All debts created and bonds issued by any such corporation are solely and exclusively an obligation of the corporation and shall not create an obligation or debt of any municipality or county.

SECURITY FOR SERIES 2022 BONDS; SOURCE OF PAYMENT

The Series 2022 Bonds are not obligations of the State of Alabama, any county, or any other political subdivision of the State of Alabama. The Series 2022 Bonds will not constitute a charge against the general credit of the Authority. The Authority has no taxing power.

The Series 2022 Bonds will be limited obligations of the Authority payable solely out of the Net System Revenues on a parity of lien with any Additional Bonds hereafter issued as parity obligations pursuant to the terms of the Indenture and secured, on a parity basis with any Additional Bonds, by (a) a nonforeclosable statutory mortgage lien on the System and (b) a pledge of the Net System Revenues. See APPENDIX B – "SUMMARY OF THE INDENTURE—Additional Bonds."

The Authority has reserved the right to hereafter issue "Additional Bonds" (as defined in the Indenture) on a parity of lien with the Series 2022 Bonds.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Series 2022 Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Insurance Policy for the Series 2022 Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Series 2022 Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states,

political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM. The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Series 2022 Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Series 2022 Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Series 2022 Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Series 2022 Bonds, nor does it guarantee that the rating on the Series 2022 Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2022 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $504.3 million, $181.5 million and $322.8 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Series 2022 Bonds or the advisability of investing in the Series 2022 Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

BAM GreenStar Bonds

The Series 2022 Bonds have been designated *BAM GreenStar Bonds* because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principles ("GBPs") developed by the International Capital Markets Association ("ICMA"). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and as a Climate Bond Initiative approved verifier. The GreenStar Credit Profile prepared by BAM for the Series 2022 Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control

- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the GreenStar Credit Profile for the Series 2022 Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

The Authority makes no representation regarding the applicability of or suitability of the GreenStar designation. The term "GreenStar" is neither defined in, nor related to, the security documents relating to the Series 2022 Bonds. The GreenStar designation is solely for identification purposes and is not intended to provide or imply that the owners of the Series 2022 Bonds are entitled to any security other than that described in this official statement. The Authority is under no contractual or other legal obligation to ensure compliance with any legal or other principles relating to "GreenStar" designation. The Authority has made no commitment to provide ongoing reporting or information regarding the designation or compliance with the GBPs.

The BAM GreenStar designation is based upon an assessment by BAM at the time of the issuance of the Series 2022 Bonds and such designation by BAM reflects only the views of BAM. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis and is based on BAM's own investigation, studies, assumptions, and criteria using its reasonable best efforts. In issuing its GreenStar designation, BAM has assumed and relied upon the accuracy and completeness of the information made publicly available by the Authority or that was otherwise made available to BAM. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Series 2022 Bonds, and the issuer and underwriter assume no responsibility for such designation.

BAM's GreenStar designation does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Series 2022 Bonds and is not a recommendation to any person to purchase, hold, or sell the Series 2022 Bonds. Such labeling does not address the market price, marketability or suitability of these Series 2022 Bonds for a particular investor. There is no assurance that the designation will be retained for any given period of time or that the designation will not be revised, suspended, or withdrawn by BAM if, in its judgment, circumstances so warrant.

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at http://www.buildamerica.com/videos. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at www.buildamerica.com/credit-profiles. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Series 2022 Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Series 2022 Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Series 2022 Bonds, whether at the initial offering or otherwise.

INITIAL RATINGS

Standard & Poor's Financial Services, LLC, has currently assigned a municipal bond rating of "AA" (Stable Outlook to the Series 2022 Bonds based on the creditworthiness of the Insurer and has currently assigned a municipal bond rating of "BBB" (Stable Outlook) based upon the creditworthiness of the Authority.

The ratings by such rating agency reflect only the views of such agency at the time such ratings are given, and the Authority makes no representation as to the appropriateness of any ratings. There is no assurance that the ratings will continue for any given period of time or that any rating may not be suspended, lowered or withdrawn entirely by a rating agency if, in its judgment, circumstances so warrant. Any such downward change in or withdrawal of a rating may have an adverse effect on the secondary market of the Series 2022 Bonds.

Due to the ongoing uncertainty regarding the economy of the United States of America, including, without limitation, matters such as the future political uncertainty regarding the United States debt limit, obligations issued by state and local governments, such as the Series 2022 Bonds, could be subject to a rating downgrade. Additionally, if a significant default or other financial crisis should occur in the affairs of the United States or of any of its agencies or political subdivisions, then such event could also adversely affect the market for and ratings, liquidity, and market value of outstanding debt obligations, including the Series 2022 Bonds.

DEBT SERVICE COVERAGE REQUIREMENTS

Debt Service Requirements

Upon the issuance of the Series 2022 Bonds, said Series 2022 Bonds will be the only outstanding debt obligations of the Authority.

General Financial Information and Summary of Revenues and Expenses

The Authority operates on a fiscal year ending on the last day in December. The significant accounting practices of the Authority are summarized in the 2020 audited financial statements attached to this Official Statement as APPENDIX A.

The Authority is required pursuant to the Indenture to adopt a budget prior to the beginning of each fiscal year showing the estimated revenue to be derived from the System each month of such year, the operating expenses expected to be incurred each such month, and the amounts to be paid each month into the various funds created under the Indenture.

A summary of the Authority's revenues and expenditures, as shown on the audited financial statements of the Authority for the fiscal years ending on December 31, 2016-2020, is presented as follows:

Revenues and Expenditures for
Fiscal Years Ending December 31:

	2020	2019	2018	2017	2016
OPERATING REVENUE					
Water revenue	$ 859,021	$815,782	$865,289	$851,050	$851,072
Sewer revenue	36,476	35,828	44,166	46,524	53,473
Miscellaneous fees and charges	-	15,500	17,942	25,149	15,766
Connection fees	4,660	5,360	2,700	4,680	6,060
Contributed assets and signup fees	14,350	3,950	6,600	7,700	11,200
Miscellaneous income	2,192	1,711	574	3,887	-
Total operating revenue	$916,699	$878,131	$937,271	$938,990	$937,571
OPERATING EXPENSE					
Advertising	-	-	-	1,698	1,755
Bank fees	5,900	5,487	3,784	3,128	3,703
Depreciation expense	323,028	322,915	322,915	322,666	322,710
Directors fees	21,200	21,600	21,600	21,600	11,800
Fuel treatment plant	1,191	903	-	-	-
Donations	500	500	500	500	500
Insurance	10,507	10,431	10,358	10,324	10,111
Legal and accounting	13,685	14,501	9,425	8,930	8,930
Maintenance of meters	8,832	3,108	2,875	364	2,522
Maintenance of pumping system	40,384	39,208	37,509	39,126	29,505
Maintenance on tank	42,019	41,154	40,477	35,632	30,969
Miscellaneous general expense	3,538	550	626	550	550
Outside services employed	346,563	336,469	326,669	320,427	332,121
Outside services employed - R&M	21,067	14,303	12,429	10,999	10,774
Power purchased for pumping	60,641	64,947	63,075	55,823	58,603
Purchased water	-	-	5,154	136	-
Sewer expense	30,029	19,228	20,804	20,418	25,126
Telephone	-	-	-	-	400
Total operating expenses	$929,084	$895,304	$878,200	$852,321	$850,079
OPERATING INCOME	($12,385)	($17,173)	$59,071	$86,669	$87,492
NONOPERATING REVENUE (EXPENSES)					
Interest income	12,318	14,930	4,603	2,844	2,602
Interest expense	(158,120)	(163,759)	(169,214)	(174,511)	(179,592)
Loss on disposition of assets	-	-	-	(2,748)	
Total nonoperating income (expense)	($145,802)	($148,829)	($164,611)	($174,415)	($176,990)
INCREASE/DECREASE IN NET POSITION	($158,187)	($166,002)	($105,540)	$87,749	$89,498

Debt Service on the Series 2022 Bonds

The debt service on the Series 2022 Bonds is set forth below.

Fiscal Year Ending December 31	Series 2022-A Bonds		Series 2022-B Bonds		Total Debt Service[1]
	Principal	Interest[1]	Principal	Interest[1]	
2022	$ --	$2,821	$ --	$41,156	$43,977
2023	105,000*	5,797	--	94,975	205,772
2024	110,000	4,335	--	94,975	209,310
2025	110,000*	2,427	--	94,975	207,402
2026	60,000	633	50,000*	94,600	94,600
2027			115,000*	93,363	93,363
2028			115,000	91,638	206,638
2029			115,000*	89,769	89,769
2030			120,000	87,713	207,713
2031			120,000*	84,863	84,863
2032			125,000	81,188	206,188
2033			130,000*	77,363	77,363
2034			130,000	73,463	203,463
2035			135,000*	69,488	69,488
2036			140,000	65,363	205,363
2037			145,000*	61,088	61,088
2038			150,000	56,663	206,663
2039			155,000*	52,088	52,088
2040			160,000	47,363	207,363
2041			165,000*	42,488	42,488
2042			170,000	37,463	207,463
2043			175,000*	32,616	32,616
2044			180,000*	27,956	27,956
2045			185,000*	23,166	23,166
2046			190,000*	18,244	18,244
2047			195,000	13,191	208,191
2048			200,000*	8,006	8,006
2049			205,000	2,691	207,691
Total	**$385,000**	**$16,013**	**$3,570,000**	**$1,657,915**	**$5,628,928**

[1] Rounded to the nearest whole dollar.

[2] Principal amount owed in this year by virtue of scheduled mandatory redemption.

Projected Debt Service Coverage on the Series 2022 Bonds

Based on the Net Income Before Interest Expenses, Depreciation and Amortization for fiscal year ending December 31, 2020[1], of $322,961 being available for debt service, coverage of debt service on the Series 2022 Bonds would be as follows:

(1) Projected maximum annual debt service of $209,310 occurring in the fiscal year ending December 31, 2024 would be covered 1.543 times.

(2) Projected average annual debt service of $206,850 (fiscal years ending December 31, 2023 through December 31, 2049) would be covered 1.5614 times.

[1] Calculated by taking operating income(loss) of ($12,385) for fiscal year ending December 31, 2020, and adding back depreciation expense of $323,028 for fiscal year ending December 31, 2020 and interest income (other than from the Construction Fund mentioned in the Indenture) of $12,318 for fiscal year ending December 31, 2020.

Qualification of Projections

THE PROJECTIONS AND ESTIMATES OF REVENUES AND EXPENSES OF THE SYSTEM, WHILE CONSIDERED TO BE BASED ON REASONABLE ASSUMPTIONS, ARE NOT PRESENTED AND SHOULD NOT BE UNDERSTOOD OR CONSTRUED AS GUARANTEES OR REPRESENTATIONS OF FACT, AND NO REPRESENTATION IS MADE NOR ASSURANCE GIVEN THAT ANY OF THE PROJECTIONS OR ESTIMATES WILL BE REALIZED.

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds are as follows:

Sources and Uses of Funds

The table below is a summary of total sources and uses of funds for the Series 2022-A Bonds at Closing:

Sources		
(a)	Series 2022-A Bonds	$385,000.00
(b)	2014 SRF P&I Reserve Balance	29,287.50
	Total Sources	**$414,287.50**
Uses		
(a)	Issuance Expenses, Bond Insurance and Underwriter's Discount	$26,114.08
(b)	Deposit to Refunding Trust Agreement to Advance Refund the SRF Bond	364,103.77
(c)	Deposit to Reserve Fund	20,375.31
(d)	Rounding Amount	3,694.34
	Total Uses	**$414,287.50**

The table below is a summary of total sources and uses of funds for the Series 2022-B Bonds at Closing:

Sources		
(a)	Series 2022-B Bonds	$3,570,000.00
(b)	Net Original Issue Premium	103,023.75
(c)	2009 Bond Reserve Balance	67,183.24
	Total Sources	**$3,740,206.99**
Uses		
(a)	Issuance Expenses and Underwriter's Discount	$166,096.39
(b)	Currently Refund the Series 1989 Bond and Series 2009 Bonds	3,383,127.92
(c)	Deposit to Reserve Fund	188,934.69
(d)	Rounding Amount	2,047.99
	Total Uses	**$3,740,206.99**

THE AUTHORITY

General

On May 14, 1979, the Authority was incorporated pursuant to enabling law now codified in Chapter 88 of Title 11 of the Code of Alabama, 1975, as amended. The Authority currently provides water service to certain portions of the southern area of Dallas County and a small area in adjoining Lowndes County (the Authority has only approximately twenty customers within Lowndes County but the primary purpose of the Authority's system in Lowndes County is to have an interconnector with Lowndes County Water Authority as an emergency supplier).

The Authority's water system (the "Water System") was originally constructed using proceeds of loans made by the Farmers Home Administration of the United States of America dating back to 1979. On November 15, 1989, the Authority amended its articles of incorporation to change its name from South Dallas Water and Fire Protection Authority to its current name of South Dallas Water Authority, Inc. The Authority also serves an existing industrial park with approximately eight users with limited sewer service (the "Sewer System").

The Authority's incorporation was consented to by the governing body of Dallas County, Alabama (the "County") and the County is who appoints the directors to the Authority's governing body. The following individuals currently serve as the Board of Directors and/or officers of the Authority through the dates shown for their terms:

Name	Title	Occupation	End of Term as Director
Theodore Pouncey	Director and Chairman	Retired Postal Carrier/Self Employed Farmer	February 28, 2027
Curtis Jackson	Director and Vice Chair	Maintenance Manager, Dallas County Schools	February 28, 2027
Duffy Casey	Director and Sec/Treas.	Casey Propane, Co-Owner	February 28, 2025
Arthur Brown	Director	Minister	April 30, 2027

The Water System and Sewer System (collectively, the "System") is currently managed by Mr. Torrey Jones, a certified Grade IV operator as a water specialist, who has served in that role to the Authority since 2007.

The Authority currently serves approximately 1,180 customers with water service and approximately 8 sewer customers at an industrial park area. Assuming a normal household contains 3 individuals on average, the approximate service area population of the Authority's water system is 3,540. Not including service lines, the Authority has approximately 221 miles of pipe within its system with approximately 220 of said pipe being PVC pipe and the remaining pipe being cast iron or other material. The distribution lines of the Authority's water system range from 3" to 12" in diameter.

Under its Enabling Law, the Authority may obtain the authority to provide water service, sewer service, and fire protection service; however, the Authority currently provides only water service except for certain limited sewer service as described below.

Since 2003, the Authority has provided sanitary sewer service to a small number of users (less than ten users) located at a specific industrial park area. The Authority has a servicing agreement (the "Sewer Agreement") with a neighboring sanitary sewer system owned and operated by the Dallas County Water, Sewer and Fire Protection Authority. Under the terms of the Sewer Agreement, the Authority owns a number of sewerage collection lines which tie with and connect with sewer lines of Dallas County Water, Sewer and Fire Protection Authority which allows for said sewerage to be properly treated by Dallas County Water, Sewer and Fire Protection Authority. The Authority currently pays the Dallas County Water, Sewer and Fire Protection Authority a fixed fee of $1.00 of water sold (per 1,000 gallons) to a user (by the Authority) as the fee for allowing the Authority to pass on the sewerage to the Dallas County Water, Sewer and Fire Protection Authority which accepts and treats said sewerage discharge from the industrial customers. For fiscal year ending December 31, 2020, the Authority generated $36,476 in revenue from providing said sewer service and paid $30,029 in charges to the Dallas County Water, Sewer and Fire Protection Authority. All of the Authority's revenues are primarily derived from the sale of potable water to customers except for the limited sewer service revenue discussed above.

The Authority's water system is comprised mainly of two primary wells (referred to as the Justice Well with a 340 gallons per minute capacity and the Smith Wells with a 650 gallons per minute capacity), a 1,500 gallon per minute treatment plant (with treatment consisting of aeration with the oxidation of the iron and manganese and the addition of chlorine and disinfection and pressure sand filtration), four storage tanks with a combined capacity of 1,700,000 gallons. The Authority also has one hydro-pneumatic distribution pump station located in the Pleasant Hill community. The Authority's Water System has maximum gallon capacity of 1,425,600 gallons per day and, historically, the maximum number of gallons pumped in one day has been 577,000 gallons. The Authority's system is located in unincorporated Dallas County and a very small portion (principally dealing with having an interconnection point) in unincorporated Lowndes County—no part of the Authority's system is inside any municipal limits, only unincorporated areas of Dallas County and Lowndes County, Alabama.

The Authority largely produces its own water for its customers through its various wells and transports potable water through a network of distribution lines and storage tanks located near each of its wells. The Authority has two primary sources of emergency back-up with Dallas County Water, Sewer and Fire Protection Authority and with Lowndes County Water Authority. The Authority's emergency back-up water supply agreement with Dallas County Water, Sewer and Fire Protection Authority is reciprocal in that either party can purchase water from the other party as needs dictate pursuant to a written agreement which extends through year 2045.

No Pledge of System Itself or Assets Comprising System as Collateral

Purchasers of the Series 2022 Bonds should be aware that no physical components or assets comprising (in whole or in part) the Authority's System are pledged to secure the repayment of the Series 2022 Bonds. Rather, only the Authority's revenues have been pledged as security for the repayment of the Series 2022 Bonds (on a parity of lien with any additional parity bonds hereafter issued).

Number of Water Customers

The approximate number of total water customers served by the Authority for the fiscal years indicated have been as follows:

Fiscal Year	Customers
2020	1,161
2019	1,157
2018	1,172
2017	1,181

Source: The Authority

Water Produced and Sold

The following table sets forth the volume of water obtained from the Water Plant and sold by the Authority during the periods indicated:

Water Consumption Table

Calendar Year	Gallons Produced*	Gallons Sold**	% Lost***
2020	119,255,000	80,199,570	19.31
2019	129,855,806	86,756,503	17.63
2018	130,531,200	93,944,260	16.84
2017	116,239,000	91,371,260	13.13
2016	112,431,000	95,146,580	7.01

Source: The Authority

Major Water Customers

The five largest customers of the Authority's Water System for the fiscal year ending December 31, 2020 based on consumption were as follows:

Table of Major Water Customers

Customer	Type of Industry	Amount Paid	% of Total Revenues
1. Crown Health Care Laundry	Healthcare Laundry Servicer	$19,012.51	2.08%
2. Southside School	Public School	$6,791.46	.74%
3. Warren Oil Co, Inc.	Oil and Lubricant Co.	4,358.80	.48%
4. Safetynet Youth System #1	Youth Charity House Facility	1,763.55	.20%
5. Safetynet Youth System #2	Youth Charity House Facility	738.36	.08%

[*] Source: The Authority

Water and Sewer Rates

The following rates were approved by the governing body of the Authority on October 16, 2020, and became effective December 15, 2020:

Residential Rate and Fee Schedule for Water Service and Sewer Service

Water Usage Rates

Residential Rates	
First 2,000 gallons per month or less	$36.00 (minimum charge)
Next 3,000 gallons	$9.00 per 1,000 gallons
Next 145,000 gallons	$9.00 per 1,000 gallons
Next 150,000 gallons	$4.25 per 1,000 gallons
Commercial Rates	
First 20,000 gallons per month or less	$180.00 (minimum charge)
Next 130,000 gallons	$9.00 per 1,000 gallons
All over 150,000 gallons	$4.25 per 1,000 gallons

	Minimum Rate for first 2,000 Gallons
2" Service	$72.00
3" Service	$108.00
4" Service	$144.00
5" Service	$180.00
10" Service	360.00

Fee Schedule

Late Fee	5% of current bill or $4.00 whichever is greater
Connection Fee	$60.00
Reconnection Fee	$60.00
Security Deposit	$50.00
NSF (Bad Check) Fee	$30.00
Trip Charge Fee	$100.00
Tap Fee	$750.00

The Authority also has approximately eight (8) sewer customers located in an industrial park which utilize sewer pipes owned by the Authority (with said users also being water customers of the Authority). The Authority charges sewer customers $1.60 per 1,000 gallons of water used (with a $100.00 per month minimum) for sewer service and is billed along with water service to said customers.

Billing Procedure

Meters are read between the 13 and 16 of the month every period and are generated once per month.

Bills not paid by the due date have a 5% (or $4.00, whichever is greater) surcharge added as a late fee. Failure to pay a bill by the 2nd day of the following month after it is rendered results in a discontinuance of service. Procedures for discontinuance of water service are operable until all amounts owing and unpaid, including a reconnection charge of $60.00, have been paid in full or unless the customer has contacted the Authority to make special arrangements for payment. Each customer pays a minimum of $50.00 deposit fee, unless a customer has been cut-off for nonpayment, in which case the security deposit is $100.00. New connections to the System carry a $750.00 or greater tap fee.

Rate-Making Authority

The Board of Directors of the Authority has sole jurisdiction to set the rates for water service to the System's customers. These rates are not currently subject to regulation by any federal, State of Alabama or similar agency, but are subject to judicial review as to reasonableness.

Management and Personnel

Since around 2006, the Authority has employed ClearWater Solutions, LLC, an Alabama limited liability company (formerly known as Artesian Utility Systems Management, Inc.) (referred to herein as the "Third-Party Manager") to manage and operate its System in its entirety. The Authority has an existing management agreement with Clearwater Solutions, LLC, which extends through January 31, 2027, whereby the Authority has contractually agreed to pay the Third-Party Manager a fixed monthly fee (ranging from $29,819.06 per month to $32,584.09 per month) to operate, manage, and administer the System. The Authority itself has no employees. The Third-Party Manager provides its operational and administrative management services on an exclusive basis to the Authority. The Authority's compensation to its management system is a fixed fee and for fiscal years ending December 31, 2019 and 2020, the management fees paid to the Third-Party Manager were $350,772 and $367,630, respectively.

The Authority does not have any employees of its own because it relies upon the Third Party Manager to provide all need labor and administrative services. If the Authority were to ever terminate its management agreement with the Third Party Manager, it would presumably have to hire its own employees and administrators to operate and manage the Authority's System.

The Authority management system, Clearwater Solutions, currently utilizes approximately six (6) full-time persons and three (3) part-term persons to operate the System, however said employees (of the Third-Party Manager) have over-lapping shared duties with West Dallas Water Authority, a neighboring water system also managed by the Third-Party Manager. The benefits and compensation for all employees of the Third-Party Manager are established by the governing body of the Third-Party Manager (not the Authority).

Water Use Regulation

The Alabama Water Resources Commission has the power, after studies and findings respecting prospective shortages of water in any area of the State of Alabama, to adopt rules and regulations to impose restraints on withdrawals of water or sales of water in those areas. Its decision of necessity for such action must be reviewed each twelve months. The exact scope of operations and utilization of the powers granted to the Commission by the said legislation have not yet been determined. It is clear that the Authority will be entitled to participate in a public hearing before any such determination for the need of restriction of use became final. The Authority will, in a timely manner, file all required declarations of beneficial use and all amendments thereto and all annual reports in connection therewith which may be required by any statute, rule or regulation with respect to the Alabama Water Resources Commission or the Office of Water Resources of the Alabama Department of Economic and Community Affairs or any other body regulating the withdrawal and sale of water in the State of Alabama and having jurisdiction over the Authority. The Authority has the opportunity to participate in all public hearings which may be held which might have the result of restricting the withdrawal or sale of water in the Authority's service area or to the Authority's customers.

GENERAL INFORMATION ABOUT THE SERVICE AREA AND THE COUNTY

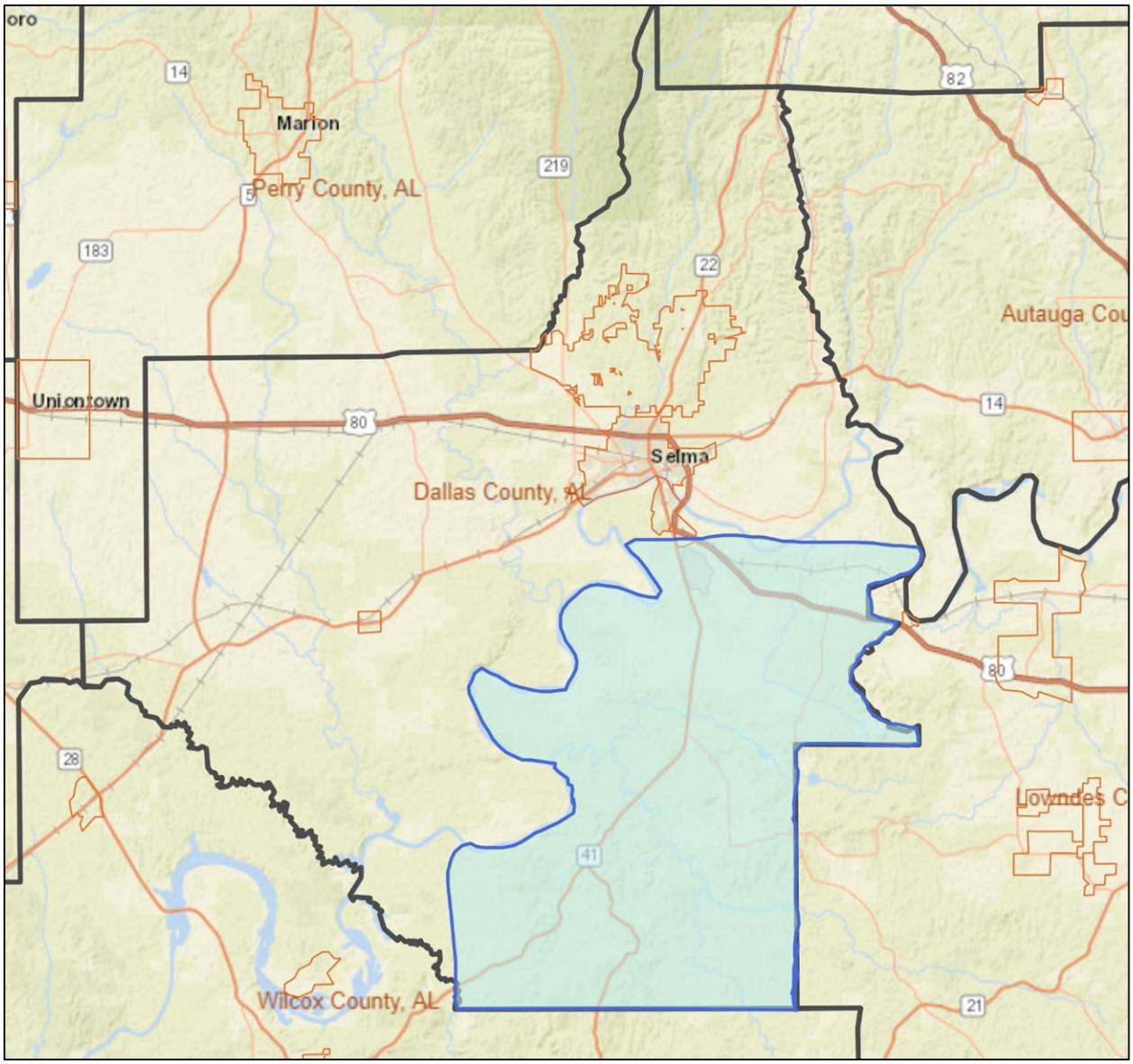
The following general information with respect to Dallas County (the "County") is given for a general understanding of demographic and economic factors affecting the County, of which the Authority serves primarily the southern portion, and the Authority. The Authority's system also reaches into neighboring Lowndes County, Alabama; however, only a very minor portion of said System exists within the territorial boundaries of Lowndes County, Alabama, largely for the purpose of having an interconnector point with a neighboring water system (for emergency supply) and serve approximately twenty (20) water customers. Accordingly, most of the demographic information set forth below pertains only to Dallas County. The Series 2022 Bonds are limited obligations of the Authority payable solely out of, and secured by, a pledge of the net revenues from the System on a parity of lien with

any additional parity obligations hereafter issued pursuant to the terms of the Indenture. The Series 2022 Bonds are not, in any manner, an obligation of the State of Alabama or the County.

Geographic Information

The County, established on February 9, 1818, is approximately 60 miles east of Montgomery and is comprised of the following municipalities: the Town of Orville, Town of Valley Grande, and the City of Selma, with the City of Selma being the county seat.

The service area of the Authority is rural in character and is primarily agricultural. The majority of inhabitants reside in single family residences and a number of such residents farm a small amount of acreage. Set forth below is a general depiction of the Authority's service area (shown in blue) within the County (the minor portions of the Authority's system within Lowndes County have been excluded from the illustration below):



Population

The following table sets forth comparative historical population statistics and estimates for the years indicated:

Population

	2010	2020	% Change 2010 - 2020	2021 Estimated	2026 Projected	% Change 2020-2025
Service Area	4,810	N/A		4,302	4,268	-0.8%
Sardis Area	1,345	1,157	-14.0%	1,235	1,235	0.0%
Dallas County	43,820	38,462	-12.2%	40,255	39,398	-2.1%
State of Alabama	4,779,736	5,024,279	5.1%	5,033,936	5,147,176	2.2%
United States	308,745,538	331,449,281	7.4%	333,934,112	345,887,495	3.6%

Source: U.S. Census Bureau; estimates and projections: ESRI; 2020 Census data is unavailable for service area.

Employment

The following table sets forth employment on nonfarm payrolls by industry:

Employment by Industry
Dallas County
4th Quarter 2020

	Average Annual Employment	Percent of Total
Agriculture, Forestry, Fishing & Hunting	155	1.4%
Mining	*	
Manufacturing	2,620	23.2%
Construction	358	3.2%
Utilities	54	0.5%
Wholesale & Retail Trade	1,701	15.1%
Transportation & Warehousing	86	0.8%
Information	67	0.6%
Finance and Insurance	229	2.0%
Real Estate and Rental and Leasing	107	0.9%
Professional and Technical Services	195	1.7%
Management of Companies and Enterprises	*	
Administrative & Waste Services	395	3.5%
Educational Services	90	0.8%
Health Care & Social Assistance	1,595	14.2%
Arts, Entertainment & Recreation	69	0.6%
Accommodation & Food Services	748	6.6%
Other Services, Except Public Administration	420	3.7%
Government (federal, state and local)	2,311	20.5%
Total	11,270	100.0%

*Confidential
Source: Alabama Department of Labor, Quarterly Census of Employment & Wages; counts workers covered by unemployment insurance.

The following table sets forth comparative unemployment rates.

Comparative Unemployment Rates

	----------Annual Average----------					
	2016	2017	2018	2019	2020	August 2021[1]
Dallas County	9.2%	7.7%	6.5%	5.5%	10.7%	7.7%
State of Alabama	5.9%	4.6%	3.9%	3.0%	5.9%	3.4%
United States	4.9%	4.4%	3.9%	3.7%	8.1%	5.3%

Note 1: Preliminary; not seasonally adjusted.

Source Alabama Department of Industrial Relations; Bureau of Labor Statistics

Major Employers

The following table sets forth major employers.

Largest Employers
Dallas County
2021

Employer	Product/Industry	Employees
International Paper Co., Riverdale Mill	Paper Manufacturing	768
Vaughan Regional Medical Center	Healthcare	535
Dallas County Public Schools	Public education	491
Selma Public Schools	Public education	475
Seoyon E-Hwa Interior Systems Alabama	Auto parts manufacturing	413
Wal-Mart Supercenter	Retail	396
Plantation Patterns, LLC	Distribution centers	375
Honda Lock-America Inc.	Auto supplier - plastics manufacturing	372
Bush Hog, division of Alamo Group	Implement and landscape tools manufacturing	332
City of Selma	Municipal government	304
Wallace Community College - Selma	Higher education	284
Dallas County	County government	236
American Apparel, Inc.	Clothing manufacturing	234
Concordia College	Higher education	200
Warren Manor Nursing Home	Healthcare	200

Source: Selma & Dallas County Economic Development Authority

Income

The following table shows per capita and median household income levels for the years indicated.

Comparative Income Measures

	Per Capita Income		Median Household Income	
	2021 Estimated	2026 Projected	2021 Estimated	2026 Projected
Approximate Service Area	$17,493	$19,552	$31,291	$33,434
Sardis Area	$19,628	$22,161	$34,905	$38,653
Dallas County	$19,910	$22,358	$35,144	$38,928
State of Alabama	$28,730	$32,382	$51,773	$56,524
United States	$35,106	$39,378	$64,730	$72,932

Source: ESRI

Housing

The following table presents information about residential building permits for the years indicated.

Residential Construction
Dallas County

Year	Total Housing Units	$ Value (000s)
2016	25	$ 3,337,253
2017	23	3,162,813
2018	28	3,857,985
2019	17	2,353,143
2020	20	2,868,371

Source: U.S. Census Bureau

Banking

The following table sets forth information relating to bank deposits for the years indicated.

Banking Statistics
Dallas County

As of 6/30	Number of Offices	Total Deposits ($000)
2017	10	$467,142
2018	10	$468,779
2019	10	$477,305
2020	10	$553,514
2021	8	$656,892
% Growth 2017 - 2021	-20%	41%

Source:
FDIC

Transportation

Dallas County is located in west-central Alabama, 45 miles west of Montgomery, the capitol of Alabama. Major roads in the county include State Highway 41 and U.S. Highway 80, which connects the county seat, Selma, to I-65 and I-85 to the east and I-20/I-59 to the west. Montgomery Regional Airport is approximately 40 miles from the service area and Selma's general aviation airport, located in Craig Industrial Complex, has an 8,000-foot runway. The Alabama River provides Dallas County with water connections to the Port of Mobile. The Alabama River also connects to the Tombigbee River, which is part of the Tennessee-Tombigbee Waterway. The County is served by two railroads, M&B Railroad and Norfolk Southern Railway.

UNDERWRITING

The Series 2022-A Bonds are being purchased by the Underwriter at a price of $377,492.50 (par amount $385,000.00 less underwriter's discount of $7,507.50).

The Series 2022-B Bonds are being purchased by the Underwriter at a price of $3,603,408.75 (par amount $3,570,000.00 less underwriter's discount of $69,615.00 plus net original issue premium in the amount of $103,023.75).

LEGAL MATTERS

The legality and validity of the Series 2022 Bonds are being approved by Maynard Cooper & Gale, P.C., Bond Counsel, Birmingham, Alabama, whose approving opinion will be delivered upon issuance. The various legal opinions to be delivered concurrently with the delivery of the Series 2022 Bonds express the professional judgment of the attorneys rendering the opinions as to the legal issues explicitly addressed therein. By rendering a legal opinion, the opinion giver does not become an insurer or guarantor of that expression of professional judgment, of the transaction opined upon, or of the future performance of parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

TAX EXEMPTION FOR SERIES 2022-B BONDS

In the opinion of Bond Counsel, Maynard Cooper & Gale, P.C., assuming the accuracy of certain representations and the compliance with certain covenants made in the Indenture by the Authority with respect to the provisions of the Internal Revenue Code of 1986, as amended (the "Code"), interest on the Series 2022-B Bonds is presently excludable from gross income for federal income taxation pursuant to Section 103 of the Code, regulations and rulings of the Commissioner of Internal Revenue pertinent thereunder, and court decisions heretofore rendered. Bond Counsel is also of the opinion that interest on the Series 2022-B Bonds is exempt from income taxation by the State of Alabama.

In the opinion of Bond Counsel, Maynard Cooper & Gale, P.C., interest on the Series 2022-A Bonds is presently not excludable from gross income for federal income taxation pursuant to Section 103 of the Code, regulations and rulings of the Commissioner of Internal Revenue pertinent thereunder and court decisions heretofore rendered. Bond Counsel is of the opinion that interest on the Series 2022-A Bonds is exempt from income taxation by the State of Alabama.

Interest on a Series 2022-B Bonds held by a corporation (other than an S corporation, regulated investment company, real estate trust or real estate mortgage investment conduit) may be indirectly subject to the corporate alternative minimum tax because of its inclusion in the reported income or earnings and profits of the corporate holder. Also, interest on Series 2022-B Bonds held by a foreign corporation may be subject to the branch profits tax imposed by the Code. Ownership of the Series 2022-B Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, financial institutions, property and casualty insurance companies, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred (or continued) indebtedness to purchase or carry the Series 2022-B Bonds. Prospective purchasers of the Series 2022-B Bonds should consult with their tax advisors as to the applicability of any such collateral consequences.

The Authority has covenanted that the applicable requirements of the Code will be met as long as the Series 2022-B Bonds are outstanding. The exclusion from gross income for federal income tax purposes of the interest on the Series 2022-B Bonds depends on and is subject to the accuracy of the certifications with respect to the applicable requirements of the Code. A failure to comply with these requirements could cause interest on the Series 2022-B

Bonds to be deemed not excludable from gross income for federal income tax purposes as of the date of issuance of the Series 2022-B Bonds or as of some later date.

No assurances can be given that federal legislation will not be introduced and enacted which could adversely affect the exclusion of interest on the Series 2022-B Bonds from gross income for federal income taxation or the tax treatment of certain owners of the Series 2022-B Bonds as a result of the receipt of such interest. Neither the Series 2022-B Bonds nor the Indenture contain any provision for an increase in the rates of interest applicable to the Series 2022-B Bonds or for the mandatory redemption of the Series 2022-B Bonds, in the event the interest thereon should become includable in gross income for federal income taxation after their date of issuance.

Original Issue Discount. Certain of the Series 2022-B Bonds are being sold with original issue discount. The original issue discount in the selling price of a bond, to the extent properly allocable to each owner of such bond, is excluded from gross income for federal income tax purposes with respect to such owner. The original issue discount is the excess of the stated redemption price at maturity of such bond over the initial offering price to the public, excluding underwriters and other intermediaries, at which price a substantial amount of the bonds of such maturity were sold.

Under Section 1288 of the Internal Revenue Code, original issue discount on tax-exempt bonds accrues on a compound basis. The amount of original issue discount that accrues to an owner of a bond during any accrual period generally equals (i) the issue price of such bond plus the amount of original issue discount accrued in all prior accrual periods, multiplied by (ii) the yield to maturity of such bond (determined on the basis of compounding at the close of each accrual period and properly adjusted for the length of the accrual period), minus (iii) any interest payable on such bond during such accrual period. The amount of original issue discount so accrued in a particular accrual period will be considered to be received ratably on each day of the accrual period, will be excluded from gross income for federal income tax purposes, and will increase the owner's tax basis in such bond. Purchasers of any bond at an original issue discount should consult their tax advisers regarding the determination and treatment of original issue discount for federal income tax purposes, and with respect to state and local tax consequences of owning such bonds.

Original Issue Premium. Certain of the Series 2022-B Bonds are being sold with original issue premium. An amount equal to the excess of the purchase price of a bond over its stated redemption price at maturity constitutes premium on such bond. A purchaser of a bond must amortize any premium over such bond's term using constant yield principles, based on the bond's yield to maturity. As premium is amortized, the purchaser's basis in such bond and the amount of tax-exempt interest received will be reduced by the amount of amortizable premium properly allocable to such purchaser. This will result in an increase in the gain (or decrease in the loss) to be recognized for federal income tax purposes on sale or disposition of such bond prior to its maturity. Even though the purchaser's basis is reduced, no federal income tax deduction is allowed. Purchasers of any bonds at a premium, whether at the time of initial issuance or subsequent thereto, should consult with their own tax advisors with respect to the determination and treatment of premium for federal income tax purposes, and with respect to state and local tax consequences of owning such bonds.

INVESTMENT INFORMATION FOR FINANCIAL INSTITUTIONS PERTAINING TO SERIES 2022-B BONDS

The Authority has designated the Series 2022-B Bonds as "qualified tax-exempt obligations" for purposes of paragraph (3) of subsection (b) of Section 265 of the Code regarding interest expense incurred to carry tax-exempt bonds and the Series 2022-B Bonds.

LITIGATION

There is not now pending any litigation restraining, enjoining, or in any manner questioning or affecting: the creation, organization or existence of the Authority; the title of the present members or officers of the Authority to their respective offices; the validity of the Authority's Series 1989 Bond, Series 2009 Bonds, or the SRF Bond; the proceedings and authority under which the Series 2022 Bonds are to be issued or the proceedings and authority under which the Series 1989 Bond, Series 2009 Bonds, or the SRF Bond were issued; the purposes of, or the use of proceeds

from, the Series 1989 Bond, Series 2009 Bonds, or the SRF Bond or the pledge of the Net System Revenues to the payment of the Series 2022 Bonds or in favor of any Additional Bonds hereafter issued.

FEDERAL BANKRUPTCY CODE

The remedies available to the Trustee or the registered owners of the Series 2022 Bonds upon an Event of Default under the Indenture are in many respects dependent upon judicial action which is often subject to discretion and delay. Under existing constitutional and statutory law and judicial decisions, including specifically Title 11 of the United States Code (the federal bankruptcy code), the remedies provided in the Indenture may not be readily available or may be limited.

The rights and remedies of the registered owners of the Series 2022 Bonds are subject to the provisions of Chapter 9 of Title 11 of the United States Code (Bankruptcy). Title 11 permits under certain specific circumstances (but only after authorization by the legislature or by a governmental officer or organization empowered by state law to give such authorization), a political subdivision of a state, such as the Authority, to file a petition for relief in the U.S. District Court (the "Court") for the district in which the political subdivision is located if it is insolvent or unable to meet its debts as they mature and desires to effect a plan to adjust its debts. Under the Bankruptcy Code, the filing of such a petition operates as an "automatic" stay of the commencement or the continuation of any judicial or other proceeding against the petitioner, its property or any officer or inhabitant of the petitioner. Chapter 9 also permits a political subdivision that files such a petition to issue, with the approval of the Court, certificate of indebtedness having priority over pre-existing obligations.

Any political subdivision filing a petition for relief under Chapter 9 must in due course file a plan for the adjustment of its debts, and such plan may include provisions modifying or altering the rights of creditors generally, or any class of them, secured and unsecured. Such plan, when confirmed by the Court, binds all creditors who had timely notice or actual knowledge of the petition or plan and discharges all claims against the petitioning political subdivision provided for in the plan. No plan may, however, be confirmed by the Court unless certain conditions occur, which include either (1) that the plan has been accepted in writing by two-thirds (2/3) in the amount and more than fifty percent (50%) in number of the allowed claims of each class which is impaired by the plan, or (2) the Court finds that the plan does not discriminate unfairly, and is fair and equitable, with respect to each class of claims that is impaired under, and has not accepted, the plan.

Prospective purchasers of the Series 2022 Bonds should assume that existing Alabama statutes authorize the Authority to file a petition for relief under Chapter 9 of Title 11 of the United States Code.

APPENDICES

The Appendices of this Official Statement contain information concerning the Authority and the Series 2022 Bonds. Each such Appendix is an integral part of this Official Statement and should be read in its entirety. The Appendices include:

APPENDIX A - Audited Financial Statement of Authority for the December 31, 2020 Fiscal Year
APPENDIX B - Summary of the Indenture
APPENDIX C - Proposed Opinion of Bond Counsel
APPENDIX D - Certain Demographic Information Pertaining to Dallas County, Alabama
APPENDIX E - Specimen Municipal Bond Insurance Policy

The Authority's financial statements included in this Official Statement as APPENDIX A have been examined to the extent set forth in its report by Branum & Company, P.C., Certified Public Accountants, and are included in reliance upon the report of such accountants and upon their authority as experts in auditing and accounting. Bond Counsel has not independently verified the numbers or calculations set forth in said financial statements and has relied upon the expertise of the Authority's independent auditors to the extent any financial statements are included herein.

RISK FACTORS

An investment in the Series 2022 Bonds involves certain risks which should be carefully considered by investors. Prospective investors should carefully examine this Official Statement and their own financial condition in order to make a judgment as to their ability to bear the economic risk of such an investment and whether or not the Series 2022 Bonds are an appropriate investment for them. Such risks include the following, among others:

1. The sufficiency of revenues to pay debt service on the Series 2022 Bonds may be affected by events and conditions relating generally to, among other things, population trends and economic developments in the service area of the System, litigation, the availability of water to the Authority, federal and state environmental regulations, the rate of return on investments in the Reserve Fund, the amount of moneys on deposit therein, and other circumstances, the exact nature and extent of which are not presently determinable.

2. The ability of the Authority to pay debt service on the Series 2022 Bonds and to comply with its rate covenant is based on certain projections and estimates of revenues to be derived from the System and estimates as to certain levels of operating expenses. There is no assurance that such projections and estimates will be realized.

3. Recent studies conducted by various study teams, task forces and other state related agencies have indicated that the quantity of potable water in Alabama is less than has been available in earlier years and, in the future, restrictions on use of water, availability of water supplies and other such matters which could have an adverse impact on the revenues of the Authority and more restrictive rules as to usage may be imposed by state or federal regulatory agencies.

4. More stringent standards of water quality and testing to assure such standards are maintained than have heretofore been applicable may impose additional costs on the Authority in the treatment of water prior to its sale and increase the cost of water to the Authority. This may reduce the amount of revenues of the Authority available for debt service to the extent it is not able to pass those increased costs on to its customers through increases in its rates.

5. The Authority faces risks of competition for customers from surrounding water systems.

6. For more than a year, the world has recently experienced a wide-spread health pandemic or outbreak which could adversely impact the world economy and the economies of the United States, the State of Alabama, and the municipalities and service areas served by the Authority. In December 2019, a novel strain of coronavirus (COVID-19) emerged in Wuhan, Hubei Province, China. While initially the outbreak was largely concentrated in China and caused significant disruptions to its economy, it has since spread to many other countries and infections have been reported globally, including the United States and the State of Alabama. The continued spread of the coronavirus in the United States and the State of Alabama could have a material adverse effect on the Authority's operations and its financial condition, including a negative impact on the Authority's ability to timely collect from water customers (on the basis that the Authority's water customers may be temporarily unemployed or unable to generate revenue due to the State-imposed governmental shutdown). <u>The extent to which the coronavirus impacts the Authority's operations and its financial condition will depend on future developments, which are highly uncertain and cannot be predicted with confidence, including the duration of the outbreak, new information which emerges concerning the severity of the disease and the actions to contain the coronavirus (including shutdown of business and social activities) or treat its impact, among others.</u>

7. Despite the implementation of network security measures by the Authority, its information technology systems may be vulnerable to breaches, hacker and ransomware attacks, computer viruses, physical or electronic break-ins and other similar events or issues. State and local governments have recently been subject to such attacks. The foregoing events or issues could lead to the disclosure of confidential information, ransomware attacks holding critical information and operations hostage or could have an adverse effect on the Authority's ability to provide water service or to collect water revenues. No assurances can be given that the Authority's measures will prevent cybersecurity attacks, and no assurances can be given that any cybersecurity attacks, if successful, will not have a material adverse effect on the operations or financial condition of the Authority. The Authority currently maintains no independent insurance from a third-party insurance carrier to mitigate risk associated with a cyber-security attack.

8. The Authority currently relies upon employees of the Third-Party Manager and currently has no employees of its own to carry on its operational and administrative duties. In the event the governing body of the Authority ever terminates usage of a Third-Party Manager, or if the Third-Party Manager ever terminates providing services to the Authority, the Authority will have to hire its own employees to replace the workers currently provided by the Third-Party Manager.

CONTINUING DISCLOSURE UNDERTAKING

(a) The Authority has agreed in accordance with the requirements of Rule 15c2-12 (the "Rule") promulgated by the Securities and Exchange Commission (the "Commission"), and pursuant to the Securities Exchange Act of 1934, to provide, or cause to be provided, the following to each nationally recognized municipal securities information repository ("NRMSIR"), and the Municipal Securities Rulemaking Board ("MSRB") operating through the Electronic Municipal Market Access System ("EMMA") designated by the Commission in accordance with the Rule:

(i) audited general purpose financial statements of the Authority and notes thereto, prepared in accordance with generally accepted accounting principles, within 270 days after the end of each fiscal year (commencing with the fiscal year ending December 31, 2022) in a format similar to the audited financials attached as Appendix A hereto, and if said audited financial information is not available within 270 days of the end of a fiscal year, the Authority shall make available unaudited financial statements (within 270 days after the end of each fiscal year) (commencing with the fiscal year ending December 31, 2022) to the extent available (but at a minimum said unaudited information shall provide net operating income statement and balance sheet information for the prior fiscal year) to be later supplemented once the audited financial information becomes available (the "Annual Financial Information"); and

(ii) certain unaudited specific operating data, within 270 days after the end of each fiscal year (commencing with the fiscal year ending December 31, 2022), of the type generally consistent with or from which can be derived the type of information presented in the tables referred to as "Table of Number of Water Customers", "Table of Major Water Customers" as contained under "THE AUTHORITY'S SYSTEM" herein (collectively, the "Annual Operating Information").

The Authority has further agreed to provide, in a timely manner, to each NRMSIR, to the Municipal Securities Rulemaking Authority ("MSRB"), through the operating of the Electronic Municipal Market Access System ("EMMA"), notice of the occurrence of any of the following events with respect to the Series 2022 Bonds, within 10 business days of occurrence: (i) principal and interest payments delinquencies, (ii) non-payment related defaults, (iii) unscheduled draws on debt service reserves reflecting financial difficulties, (iv) unscheduled draws on credit enhancements reflecting financial difficulties, (v) substitution of credit or liquidity providers, or their failure to perform, (vi) adverse tax opinions or events affecting the tax-exempt status of the Series 2022 Bonds, (vii) modifications to rights of holders of the Series 2022 Bonds, (viii) calls for redemption, (ix) defeasances, (x) rating changes, (xi) release, substitution or sale of property securing repayment of the securities, if material, (xii) bankruptcy, insolvency, receivership or similar events affecting the Authority, (xiii) the consummation of a merger, consolidation, or acquisition involving the Authority or the sale of all or substantially all of the assets of the Authority, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material, (xiv) appointment of a successor or additional trustee or the change of name of a trustee, if material, (xv) notice of a failure of the Authority to provide Annual Operating Information or Annual Financial Information, on or before the specified due dates; (xvi) incurrence of a Financial Obligation (as defined below), if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation (as defined below), any of which affect security holders, if material, and (xvii) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation (as defined below), any of which reflect financial difficulties. The term "Financial Obligation" shall mean a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) a guarantee of (i) or (ii). The term "Financial Obligation" does not include municipal securities as to which a final official statement has been otherwise provided to the MSRB under the Rule.

(b) The Authority has reserved the right to modify from time to time the specific types of information provided or the format of the presentation of such information, to the extent necessary or appropriate in the judgment of the Authority; provided that the Authority has agreed that any such modification will be done in a manner consistent with the Rule.

(c) The Authority has reserved the right to terminate its obligation to provide financial information and notices of material events, as set forth above, if and when the Authority no longer remains an obligated person with respect to the Series 2022 Bonds within the meaning of the Rule.

(d) The Authority has agreed that its undertaking pursuant to the Rule set forth herein is intended to be for the benefit of the registered owners of the Series 2022 Bonds and shall be enforceable by the registered owners; provided that, the registered owners' rights to enforce the provisions of this undertaking shall be limited to a right to obtain specific enforcement of the Authority's obligations hereunder and any failure by the Authority to comply with the provisions of this undertaking shall not be an event of default with respect to the Series 2022 Bonds and shall not subject the Authority to money damages in any amount, whether compensatory, penal or otherwise.

(e) The Authority has agreed that the following person has been designated as the contact person on behalf of the Authority from whom the foregoing information, data, and notices can be obtained. The name, address and telephone number of the initial contact person are:

Ms. Sarah Jean McAteer, or her successor
Business Manager
South Dallas Water Authority, Inc.
37 County Road 471
(P.O. Box 875)
Selma, Alabama 36702
Phone: (334) 875-7007
Fax: (334) 875-1185

COMPLIANCE WITH PRIOR CONTINUING DISCLOSURE OBLIGATIONS

Prior to the issuance of the Series 2022 Bonds, the Authority has not previously entered into any type of continuing disclosure agreement with respect to its prior indebtedness since not required by federal or state securities laws.

DISCLAIMERS AND OTHER MISCELLANEOUS MATTERS

This Official Statement is not to be construed as a contract or agreement between the Authority and the purchasers or holders of any of the Series 2022 Bonds.

All quotations from and summaries and explanations of provisions of laws and documents herein do not purport to be complete, and reference is made to such laws and documents for full and complete statements of their provisions.

The order and placement of material in this Official Statement, including its appendices, are not to be deemed a determination of relevance, materiality or importance, and all material in this Official Statement, including its appendices, must be considered in its entirety.

The information in this Official Statement has been obtained from sources which are considered dependable and which are customarily relied upon in the preparation of similar official statements, but such information is not guaranteed as to accuracy or completeness.

All estimates and assumptions contained herein are believed to be reliable, but no representation is made that such estimates or assumptions are correct or will be realized.

No person, including any broker, dealer or salesman, has been authorized to give any information or to make any representation other than those contained in this Official Statement, and if given or made, such other information or representations must not be relied upon as having been authorized by the Authority.

The Series 2022 Bonds will not be registered under the Securities Act of 1933, as amended, or any state securities laws and will not be listed on any stock or other securities exchange, and neither the Securities and Exchange Commission nor any federal, state, municipal or other governmental agency will pass upon the accuracy, completeness or adequacy of this Official Statement. Any representation to the contrary is a criminal offense. The Indenture has not been qualified under the Trust Indenture Act of 1939, as amended.

Any information or expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale hereunder shall under any circumstances create an implication that there has been no change as to the affairs of the Authority since the date hereof.

Certain statements contained in this Official Statement including, without limitation, statements containing the words "estimates," "believes," "anticipates," "expects," and words of similar import, constitute "forward-looking" statements within the meaning of the Private Securities Litigation Reform Act of 1995. Such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of the Authority to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Such factors include, among others, population trends and political and economic developments that could adversely impact the collection of revenues. Given these uncertainties, prospective investors are cautioned not to place undue reliance on such forward-looking statements. The Authority disclaims any obligation to update any such factors or to publicly announce the results of any revision to any of the forward-looking statements contained herein to reflect future events or developments.

In connection with this offering, the Underwriter may over allot or effect transactions which stabilize or maintain the market price of the Series 2022 Bonds offered hereby at a level above that which might otherwise prevail in the open market, and such stabilizing, if commenced, may be discontinued at any time. The prices and other terms of the offering and sale of the Series 2022 Bonds may be changed from time to time by the Underwriter after the Series 2022 Bonds are released for sale, and the Series 2022 Bonds may be offered and sold at prices other than the initial offering prices, including sales to dealers, without prior notice.

The Underwriter has provided the following sentence for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

This Official Statement is being provided to prospective purchasers either in bound printed format or in electronic format. This Official Statement may be relied upon only if it is in its bound printed format or as printed in its entirety in such electronic format.

This Official Statement has been approved by the Board of Directors of the Authority.

SOUTH DALLAS WATER AUTHORITY, INC.

By: /s/ Theodore Pouncey
Chairman

APPENDIX A

Audited Financial Statements of the Authority for Fiscal Year Ending December 31, 2020

SOUTH DALLAS WATER AUTHORITY

DECEMBER 31, 2020

FINANCIAL STATEMENTS

SOUTH DALLAS WATER AUTHORITY

INDEX

	PAGE
Independent auditors' report	1 - 3
Report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with *Government Auditing Standards*	4 - 5
REQUIRED SUPPLEMENTARY INFORMATION	
Management's discussion and analysis	6 - 9
BASIC FINANCIAL STATEMENTS	
Balance sheets	10 - 11
Statements of revenue, expenses and changes in net position	12
Statements of cash flows	13 - 14
Notes to financial statements	15 - 21
SUPPLEMENTARY INFORMATION	
Schedule of revenue and expenses	22

Branum & Company, P.C.
Certified Public Accountants and Business Consultants

INDEPENDENT AUDITORS' REPORT

To the Board of Directors
South Dallas Water Authority
Greenville, Alabama

We have audited the accompanying financial statements of South Dallas Water Authority (the Authority), as of and for the years ended December 31, 2020 and 2019, and the related notes to the financial statements, which collectively comprise the Authority's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

503 East Commerce Street Greenville, Alabama
Member of American Institute of Certified Public Accountants

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of South Dallas Water Authority, as of December 31, 2020 and 2019, and the respective changes in financial position, and cash flows thereof for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 6 through 9 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise of South Dallas Water Authority's basic financial statements. The schedule of revenue and expenses is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The schedule of revenue and expenses is the responsibility of management and was derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of revenue and expenses is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

503 East Commerce Street Greenville, Alabama

Member of American Institute of Certified Public Accountants

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated April 23, 2021, on our consideration of the South Dallas Water Authority's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of South Dallas Water Authority's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering South Dallas Water Authority's internal control over financial reporting and compliance.

Branum & Company, P.C.

Greenville, Alabama
April 23, 2021

503 East Commerce Street Greenville, Alabama

Member of American Institute of Certified Public Accountants

Branum & Company, P.C.
Certified Public Accountants and Business Consultants

INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Board of Directors
South Dallas Water Authority
Greenville, Alabama

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the business-type activities of South Dallas Water Authority (the Authority), as of and for the years ended December 31, 2020 and 2019, and the related notes to the financial statements, which collectively comprise the Authority's basic financial statements and have issued our report thereon dated April 23, 2021.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Authority's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Authority's internal control. Accordingly, we do not express an opinion on the effectiveness of the Authority's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not

503 East Commerce Street Greenville, Alabama
Member of American Institute of Certified Public Accountants

identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We did identify a certain deficiency in internal control that we consider to be a significant deficiency. The size of the Authority's staff precludes certain controls that would be preferred if the office staff were large enough to provide optimum segregation of duties. This lack of segregation of duties is inherent in any small office. An employee should not be responsible for initiating, authorizing, and recording the same transactions. This situation dictates that the Board of Directors remains involved in financial affairs to provide oversight and independent review functions. Management's response is that the Board reviews and approves financial statements each month and approves payment of all expenditures in total and is active in everyday activity of the Authority.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Authority's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Governmental Auditing Standards.*

South Dallas Water Authority's Response to Findings

South Dallas Water Authority's response to the findings identified in our audit is described previously. The Authority's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Branum & Company, P.C.

Greenville, Alabama
April 23, 2021

503 East Commerce Street Greenville, Alabama

Member of American Institute of Certified Public Accountants

Management's Discussion and Analysis

As management of South Dallas Water Authority, we offer readers of the Authority's financial statements this narrative overview and analysis of the financial activities for the fiscal year ended December 31, 2020.

Financial Highlights

- The assets of South Dallas Water Authority exceeded its liabilities at the close of the most recent fiscal year by $3,780,672 net position). Of this amount, $571,778 (unrestricted net position) may be used to meet the Authority's ongoing obligations to citizens and creditors.
- Payment on all loans decreased Authority's total debt by $143,000 during the fiscal year.
- Last rate increase was December 15, 2020. Rate increases have been in small increments so as not to impact hardship on the rural community customers.
- South Dallas Water Authority is now completely radio read. Line loss report, chemical cost and power cost continue to decrease that indicates cost savings of this project.
- At the regular Board meeting of June 17, 2016, the Authority renewed the Management Contract with Artesian Utilities/ClearWater Solutions to begin February 1, 2017 through January 31, 2022.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to South Dallas Water Authority's basic financial statements. The Authority's basic financial statements are comprised of two components: 1) authority-wide financial statements, and 2) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements themselves.

Government-wide financial statements. The government-wide financial statements are designed to provide readers with a broad overview of South Dallas Water Authority's finances, in a manner similar to a private-sector business.

The Balance Sheet presents information on all of South Dallas Water Authority's assets and liabilities, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of South Dallas Water Authority is improving or deteriorating.

The Statements of Revenue, Expenses and Changes in Net Position present information showing how the Authority's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenue and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected revenue).

Both of the government-wide financial statements distinguish functions of South Dallas Water Authority that are principally supported by water revenue from other functions that are intended to recover all or a significant portion of their costs through user fees and charges. The activities of South Dallas Water Authority include water sales, water storage, the installation of equipment to facilitate the sale and storage of water, and the disposal of sewage.

The government-wide financial statements include only South Dallas Water Authority.

The government-wide financial statements can be found on pages 10 through 14 of this report.

Notes to the financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide financial statements. The notes to the financial statements can be found on pages 15 through 21 of this report.

Authority Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of an authority's financial position. In this case, South Dallas Water Authority's assets exceeded liabilities by $3,780,672 at the close of the most recent fiscal year.

By far the largest portion of South Dallas Water Authority's net position reflects its investment in capital assets (e.g., land, buildings, machinery, and equipment); less any related debt used to acquire those assets that is still outstanding. South Dallas Water Authority uses these capital assets to provide water and sewer service to citizens; consequently, these assets are not available for future spending. Although South Dallas Water Authority's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of South Dallas Water Authority's net position in the amount of $703,474 represents resources that are subject to external restrictions on how they may be used. The remaining balance of unrestricted net position $571,778 may be used to meet the Authority's ongoing obligations to citizens and creditors.

At the end of the current fiscal year, South Dallas Water Authority is able to report positive balances in all three categories of net position.

South Dallas Water Authority's Changes in Net Position

	2020	2019
Revenue:		
Operating revenue	$ 916,699	$ 878,131
Interest income	12,318	14,930
Total revenue	929,017	893,061
Expenses:		
Distribution-operations and maintenance	183,096	168,548
Administrative and general	422,960	403,841
Depreciation and amortization	323,028	322,915
Interest on long-term debt	158,120	163,759
Total expenses	1,087,204	1,059,063
Decrease in net position before transfers	(158,187)	(166,002)
Net position beginning of year	3,938,859	4,104,861
Net position end of year	$3,780,672	$ 3,938,859

Capital Asset and Debt Administration

Capital assets. South Dallas Water Authority's investment in capital assets for its business type activities as of December 31, 2020, amounts to $6,543,420 (net of accumulated depreciation). This investment in capital assets included building, water towers, wells, water lines, sewer lines and machinery and equipment.

Long-term debt. At the end of the current fiscal year, South Dallas Water Authority had total long-term debt outstanding of $4,038,000. Of this amount $3,553,000 is payable to the United State Department of Agriculture, Rural Development Administration secured by all plant assets and revenue of the authority; and $485,000 is payable to the Alabama Drinking Water Finance Authority secured by system revenue.

South Dallas Water Authority's total debt decreased by $143,000 during the current fiscal year.

Future Projects

South Dallas Water Authority strives to maintain the radio read meters and provide as possible leak free service lines. Tank Maintenance is a vital part of upkeep for the system. No other projects are forecasted at this time.

Requests for Information

This financial report is designed to provide a general overview of South Dallas Water Authority's finances for all those with an interest in the Authority's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to South Dallas Water Authority; P O Box 875; Selma, AL 36702-0875.

SOUTH DALLAS WATER AUTHORITY
BALANCE SHEETS
AT DECEMBER 31, 2020 AND 2019

ASSETS

	2020	2019
CURRENT ASSETS:		
Cash	$ 602,593	$ 567,300
Accounts receivable:		
Trade, less allowance for doubtful accounts of $11,489 and $11,476, respectively	82,258	120,805
Unbilled revenue	43,357	43,357
Total current assets	728,208	731,462
NONCURRENT ASSETS:		
Restricted assets:		
Cash and cash equivalents	798,146	781,068
Capital assets:		
Land	11,882	11,882
Fixed properties in service	12,224,214	12,210,847
	12,236,096	12,222,729
Less: Accumulated depreciation	5,692,676	5,369,648
Total capital assets, net	6,543,420	6,853,081
Other assets:		
Utility deposits	25	25
Total other assets	25	25
Total assets	$ 8,069,799	$ 8,365,636

LIABILITIES AND NET POSITION

	2020	2019
CURRENT LIABILITIES:		
Current maturities on long-term debt	$ 147,000	$ 143,000
Accounts payable	41,599	33,869
Customer deposits	57,428	54,835
Accrued liabilities:		
Interest	152,100	157,073
Total current liabilities	398,127	388,777
NONCURRENT LIABILITIES:		
Long-term debt	3,891,000	4,038,000
Total liabilities	4,289,127	4,426,777
NET POSITION:		
Net investment in capital assets	2,505,420	2,672,081
Restricted	703,474	678,830
Unrestricted	571,778	587,948
Total net position	3,780,672	3,938,859
Total liabilities and net position	$ 8,069,799	$ 8,365,636

The accompanying notes are an integral part of these financial statements.

SOUTH DALLAS WATER AUTHORITY
STATEMENTS OF REVENUE, EXPENSES AND
CHANGES IN NET POSITION
FOR THE YEARS ENDED DECEMBER 31, 2020 AND 2019

	2020	2019
OPERATING REVENUE	$ 916,699	$ 878,131
OPERATING EXPENSES	929,084	895,304
OPERATING INCOME (LOSS)	(12,385)	(17,173)
NONOPERATING INCOME (EXPENSES)	(145,802)	(148,829)
DECREASE IN NET POSITION	(158,187)	(166,002)
NET POSITION - BEGINNING OF YEAR	3,938,859	4,104,861
NET POSITION - END OF YEAR	$ 3,780,672	$ 3,938,859

The accompanying notes are an integral part of these financial statements.

SOUTH DALLAS WATER AUTHORITY
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2020 AND 2019
Increase (Decrease) in Cash and Cash Equivalents

	2020	2019
CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from customers	$ 955,246	$ 878,548
Cash payments to suppliers for goods and services	(600,706)	(575,301)
Net cash provided by operating activities	354,540	303,247
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:		
Principal payments on long-term debt	(143,000)	(138,000)
Interest paid on long-term debt	(158,120)	(163,759)
Purchase of capital assets	(13,367)	
Net cash used for capital and related financing activities	(314,487)	(301,759)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Interest income	12,318	14,930
Net cash provided by investing activities	12,318	14,930
NET INCREASE IN CASH AND CASH EQUIVALENTS	52,371	16,418
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	1,348,368	1,331,950
CASH AND CASH EQUIVALENTS AT END OF YEAR	$ 1,400,739	$ 1,348,368
CASH AND CASH EQUIVALENTS INCLUDE THE FOLLOWING AMOUNTS:		
Current assets - cash	$ 602,593	$ 567,300
Restricted assets - cash	798,146	781,068
Total cash and cash equivalents	$ 1,400,739	$ 1,348,368

The accompanying notes are an integral part of these financial statements.

SOUTH DALLAS WATER AUTHORITY
STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2020 AND 2019
Increase (Decrease) in Cash and Cash Equivalents

	2020	2019
RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH PROVIDED BY OPERATING ACTIVITIES:		
Operating income (loss)	$ (12,385)	$ (17,173)
Adjustments to reconcile operating income to net cash provided by operating activities:		
Bad debt expense	4,545	5,255
Depreciation	323,028	322,915
Changes in assets and liabilities:		
Increase in accounts receivable	34,002	(4,838)
Increase (decrease) in accounts payable	7,730	2,891
Increase (decrease) in customer deposits	2,593	(1,030)
Decrease in accrued liabilities	(4,973)	(4,773)
Total adjustments	366,925	320,420
Net cash provided by operating activities	$ 354,540	$ 303,247

The accompanying notes are an integral part of these financial statements.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Organization - South Dallas Water Authority was established in 1986 to provide water service to the rural communities in south Dallas County. It is a public corporation and is exempt from income taxes.

Basis of accounting - The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Government-wide and proprietary fund financial statements - The Authority's basic financial statements include a Balance Sheet, a Statement of Revenue, Expenses and Changes in Fund Net Position, and a Statement of Cash Flows. All assets, deferred outflows of resources, liabilities (whether current or noncurrent), and deferred inflows of resources are included on the Statement of Net Position. The Statement of Revenue, Expenses and Changes in Fund Net Position present increases (revenue) and decreases (expenses) in total net position

The Authority classifies net position in the financial statements as follows:

- **Net Investment in Capital Assets** includes the Authority's capital assets (net of accumulated depreciation) reduced by the outstanding balances of bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvement of those assets.
- **Restricted Net Position** includes assets that have third-party (statutory, bond covenant, or granting agency) limitations on their use. The Authority typically uses restricted assets first, as appropriate opportunities arise, but reserves the right to selectively defer the use until a future project.
- **Unrestricted Net Position** typically includes unrestricted liquid assets. The Board of Directors has the authority to revisit or alter this designation.

Measurement focus, basis of accounting, and financial statement presentation - The accounting records of the Authority are maintained using the "economic resources" measurement focus and the accrual basis of accounting. Under the accrual basis of accounting, revenue is recognized in the period in which it is earned while expenses are recognized in the period in which the liability is incurred, regardless of the timing of related cash flows.

Principal operating revenue is recognized when water is used by the consumer. Principal operating expenses are the cost of providing services and include administrative expenses. Other revenue and expenses are classified as non-operating in the basic financial statements.

Net position flow assumptions - Sometimes the Authority will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

In order to calculate the amounts to report as restricted net position and unrestricted net position in the government-wide financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the Authority's policy to consider restricted net position to have been depleted before unrestricted net position is applied.

Cash - All operating receipts are deposited to the general fund bank account, and operation and maintenance expenses are paid from the account. Also, monthly transfers are made to restricted funds as required by the loan with Rural Development Administration and by the bond indenture.

Cash and cash equivalents - The Authority considers all highly liquid investments with an original maturity of three months or less to be cash equivalents.

Use of estimates - The preparation of financial statements in accordance with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that could affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

NOTE 2 - ACCOUNTS RECEIVABLE:

The Authority extends credit to its customers who are primarily located in central Alabama. Trade receivables are carried at original invoice amount less an estimate made for doubtful receivables based on a review of all outstanding amounts on a monthly basis. Management determines the allowance for doubtful accounts by identifying troubled accounts and by using a historical experience applied to an aging of accounts. Trade receivables are written off when deemed uncollectible. Recoveries of trade receivables previously written off are recorded when received. Operating revenue is reported net of the provision for uncollectible accounts.

The Authority provides an allowance for doubtful accounts based upon the anticipated collectability of each specific account. A summary of the changes in the allowance for doubtful accounts is as follows:

	2020	2019
Balance at beginning of year	$ 11,476	$ 12,149
Provision charged to income, net of recoveries	4,545	5,255
Accounts written off	(4,532)	(5,928)
	$ 11,489	$ 11,476

NOTE 3 - CAPITAL ASSETS:

Capital assets are defined by the Authority as assets with an initial, individual cost of more than $1,000 for equipment, water system and other capital assets with an estimated useful life in excess of a year. Capital assets are recorded at cost. Depreciation is computed on the straight-line method, based on estimated useful lives of 10 and 40 years.

Capital asset activity for the year ended December 31, 2020, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Capital assets not being depreciated:				
Land and land rights	$ 11,882			$ 11,882
Total capital assets not being depreciated	11,882	-	-	11,882
Capital assets being depreciated:				
Water systems and wells	2,509,824			2,509,824
Distribution mains and accessories	9,198,075	$ 13,367		9,211,442
Communication equipment	73,905			73,905
Sewage line project	429,043			429,043
Total capital assets being depreciated	12,210,847	13,367		12,224,214
Total accumulated depreciation	5,369,648	323,028		5,692,676
Total capital assets being depreciated, net	6,841,199	(309,661)		6,531,538
Total capital assets, net	$ 6,853,081	$ (309,661)	$ -	$ 6,543,420

NOTE 3 - CAPITAL ASSETS: (continued)

Capital asset activity for the year ended December 31, 2019, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Capital assets not being depreciated:				
Land and land rights	$ 11,882			$ 11,882
Total capital assets not being depreciated	11,882	-	-	11,882
Capital assets being depreciated:				
Water systems and wells	2,509,824			2,509,824
Distribution mains and accessories	9,198,075			9,198,075
Communication equipment	73,905			73,905
Sewage line project	429,043			429,043
Total capital assets being depreciated	12,210,847			12,210,847
Total accumulated depreciation	5,046,733	$ 322,915		5,369,648
Total capital assets being depreciated, net	7,164,114	(322,915)	-	6,841,199
Total capital assets, net	$ 7,175,996	$ (322,915)	$ -	$ 6,853,081

Expenditures for maintenance and repairs are charged to operations as incurred.

NOTE 4 - SUBSEQUENT EVENTS:

Subsequent events have been evaluated through April 23, 2021, which is the date the financial statements were issued.

NOTE 5 - CASH AND CASH EQUIVALENTS:

Custodial credit risk - The Authority's investment policy requires that bank deposits be fully insured by the Federal Deposit Insurance Corporation (FDIC) and the Security for Alabama Funds Enhancement (SAFE) Program. The SAFE Program is a multiple financial collateral pool administered by the State Treasurer according to the State of Alabama statute.

At December 31, 2020, none of the government's bank balance of $1,404,673 was exposed to custodial credit risk and is fully insured by the FDIC and the SAFE Program.

NOTE 6 - OPERATIONS AND MAINTENANCE AGREEMENT:

The Authority has a management agreement with ClearWater Solutions. They provide the operation, maintenance, and management of the system. Charges to the Authority by ClearWater Solutions for the year ended December 31, 2020 and 2019 were $367,630 and $350,772, respectively.

NOTE 7 - RESTRICTED FUNDS:

The loan agreement with Rural Development Administration requires that certain funds be established and controlled by the Authority in accordance with the terms of the loan. The agreement requires the Authority to build up and maintain a Debt Service Fund and a Replacement and Extension Reserve Fund. The Authority is also required to make monthly payments into the Debt Service Fund that equals 1/12 of the principal and interest due on the next succeeding January 1.

All deposits have been made as required and the balances in the funds at December 31 are as follows:

	2020	2019
Debt Service Reserve Fund	$ 201,772	$ 192,676
Replacement and Extension Reserve Fund	151,372	142,276
Reserve Fund	445,002	446,116
Total restricted cash & cash equivalents	$ 798,146	$ 781,068

NOTE 8 - LONG-TERM DEBT:

Long-term debt activity for the year ended December 31, 2020, was as follows:

	Balance 12/31/19	Increases	Decreases	Balance 12/31/20
Warrants from direct borrowings and placements	$ 4,181,000		$ 143,000	$ 4,038,000
Totals	$ 4,181,000	$ -	$ 143,000	$ 4,038,000

Long-term debt activity for the year ended December 31, 2019, was as follows:

	Balance 12/31/18	Increases	Decreases	Balance 12/31/19
Warrants from direct borrowings and placements	$ 4,319,000		$ 138,000	$ 4,181,000
Totals	$ 4,319,000	$ -	$ 138,000	$ 4,181,000

NOTE 8 - LONG-TERM DEBT: (continued)

A description of direct borrowings and placements at December 31, 2020 and 2019 is as follows:

	2020	2019
Note payable - Rural Development Administration; secured by system revenue; interest rate 5%; interest and graduated principal payments are due annually on January 1; with final payment due January 1, 2029	$ 485,000	$ 527,000
Water Revenue Bonds, Series 2002; interest rate 3.5%; secured by system revenue; interest due each February 15 and August 15, and graduated principal payments are due annually on February 15, with final payment due on February 15, 2023	85,000	110,000
Water Revenue Bonds, Series 2010; interest rate 3.375-4.125%; secured by system revenue; interest and graduated principal payments are due annually on January 1; with final payment due January 1, 2049	3,098,000	3,154,000
Water Revenue Bonds, Series 2014; interest rate 2.45%; secured by system revenue; interest due each February 15 and August 15, and graduated principal payments are due annually on February 15, with final payment due on February 15, 2034	370,000	390,000
	4,038,000	4,181,000
Less: Current portion	147,000	143,000
Totals	$3,891,000	$4,038,000

Warrants from direct borrowings and placements constitute direct obligations of the Authority for the payments of which the full faith and credit of the Authority are irrevocably pledged. Debt service requirements to maturity for warrants from direct borrowings and placements outstanding at December 31, 2020, were as follows:

YEAR	PRINCIPAL	INTEREST	TOTAL
2021	$ 147,000	$157,875	$ 304,875
2022	162,000	151,976	313,976
2023	167,000	145,625	312,625
2024	141,000	139,049	280,049
2025	146,000	133,340	279,340
2026	151,000	127,415	278,415
2027	158,000	121,258	279,258
2028	164,000	114,793	278,793
2029	169,000	108,061	277,061

NOTE 8 - LONG-TERM DEBT: (continued)

YEAR	PRINCIPAL	INTEREST	TOTAL
2030	$ 113,000	$ 101,036	$ 214,036
2031	116,000	97,043	213,043
2032	120,000	92,933	212,933
2033	124,000	88,665	212,665
2034	126,000	84,241	210,241
2035	100,000	80,100	180,100
2036	105,000	76,170	181,170
2037	109,000	72,041	181,041
thereafter	1,720,000	474,383	2,194,383
Totals	$ 4,038,000	$ 2,366,004	$ 6,404,004

Total interest expense for the years ended December 31, 2020 and 2019 was $158,120 and $163,759, respectively. Of these amounts, $0 and $0 was capitalized interest of construction in progress and $163,759 and $169,214, respectively, was recorded as interest expense.

NOTE 9 - RISK MANAGEMENT, CONTINGENCIES, AND COMMITMENTS:

The Authority is exposed to various risks of losses related to theft of property, damage or destruction of assets, torts, and natural disasters. The Authority has obtained coverage from commercial insurance.

The Authority has commitments to pay a contractor. The total contract commitment for renovations and maintenance was $46,714 at December 31, 2020.

SOUTH DALLAS WATER AUTHORITY
SCHEDULE OF REVENUE AND EXPENSES
FOR THE YEARS ENDED DECEMBER 31, 2020 AND 2019

	2020	2019
OPERATING REVENUE:		
Water revenue	$ 859,021	$ 815,782
Sewer revenue	36,476	35,828
Miscellaneous fees and charges		15,500
Connection fees	4,660	5,360
Contributed assets and signup fees	14,350	3,950
Miscellaneous income	2,192	1,711
Total operating revenue	916,699	878,131
OPERATING EXPENSES:		
Bank fees	5,900	5,487
Depreciation expense	323,028	322,915
Directors fees	21,200	21,600
Donations	500	500
Fuel - treatment plant	1,191	903
Insurance	10,507	10,431
Legal and accounting	13,685	14,501
Maintenance of meters	8,832	3,108
Maintenance of pumping system	40,384	39,208
Maintenance on tank	42,019	41,154
Miscellaneous general expense	3,538	550
Outside services employed	346,563	336,469
Outside services employed - R&M	21,067	14,303
Power purchased for pumping	60,641	64,947
Sewer expense	30,029	19,228
Total operating expenses	929,084	895,304
OPERATING INCOME (LOSS)	(12,385)	(17,173)
NONOPERATING REVENUE (EXPENSES):		
Interest income	12,318	14,930
Interest expense	(158,120)	(163,759)
Total nonoperating expense	(145,802)	(148,829)
DECREASE IN NET POSITION	$ (158,187)	$ (166,002)

See Auditors' Report.

APPENDIX B

Summary of the Indenture

SUMMARY OF THE INDENTURE

A brief description of the Indenture is included in this portion of the Official Statement. This summary does not purport to be comprehensive or definitive; all references herein to the Indenture are qualified in their entirety by reference to the instrument itself; and all references to the Series 2022 Bonds are qualified in their entirety by reference to the definitive form thereof and the information with respect thereto included in the Indenture and the supplement thereto authorizing the Series 2022 Bonds.

Definition of Certain Terms

The following definitions of certain terms used in this summary supplement the terms elsewhere defined in this Official Statement.

"**Additional Bonds**" shall mean one or more series of Additional Bonds issued pursuant to the Indenture.

"**Annual Net Income**" means the total revenues derived from the operation of the System during a Fiscal Year, including investment income (other than income earned on a construction fund), less the total of the Operating Expenses during such Fiscal Year.

"**Annual Net Debt Service Requirement**" means the amount of principal and interest maturing with respect to the then outstanding Bonds in such Fiscal Year; provided that the principal amount of any Bonds subject to a mandatory redemption requirement during such Fiscal Year shall, for purposes of this definition, be considered as maturing in the Fiscal Year during which such redemption is required and not in the Fiscal Year in which their stated maturity occurs; and provided further, that for purposes of this definition, Bonds that are deemed paid under the provisions of Section 12.2 of the Indenture shall not be deemed to be outstanding; and (c) that portion of the interest on Bonds which is to be paid from a portion of the proceeds of any Additional Bonds to be issued shall not be considered in calculating the Annual Net Debt Service Requirement.

"**Authority**" means South Dallas Water Authority, Inc., a public corporation organized under the laws of the State of Alabama, until a successor corporation shall have become such pursuant to the applicable provisions of the Indenture, and thereafter "Authority" shall mean such successor corporation.

"**Bond**" shall mean any Bond authenticated and delivered pursuant to the Indenture.

"**Bonds**" means the Series 2022 Bonds and Additional Bonds of all series from time to time issued under the Indenture.

"**Bond Fund**" shall mean the fund by that name established pursuant to the Indenture (which shall also serve as the Sinking Fund Account).

"**Counsel**" shall mean an attorney who is duly licensed to practice before the Supreme Court of Alabama.

"**Engineer**" shall mean a person engaged in the profession of engineering, having a favorable reputation for skill and experience in the construction and operation of water systems, and such person may not be employed full time by the Authority.

"**Federal Securities**" shall mean direct obligations of, or obligations the payment of which is guaranteed by, the United States of America.

"**Fiscal Year**" shall mean the fiscal year of the Authority, as established from time to time by requisite corporate action.

"**Independent Auditor**" means a certified public accountant (or a firm thereof) regularly engaged in the auditing of financial records and not employed full time by the Authority, or an auditor who is regularly employed by the State Examiner of Public Accounts.

"**Insurer**" refers to Build America Mutual Assurance Company, and/or its successors.

"**Maximum Reserve Requirement**" means the least of (a) the maximum amount of principal of and interest on the Bonds maturing, coming due or becoming subject to mandatory redemption in any Fiscal Year, (b) 125% of the average annual (Fiscal Year basis) amount of principal and interest coming due or maturing on the Bonds, (c) 10% of the original face amount of the Bonds, and (d) the greatest amount at the time permitted to be on deposit in the Reserve Fund and invested at an unrestricted yield without causing the interest on the Bonds to be subject to taxation under Section 103 of the Code or any other pertinent section thereof.

"**Operating Expenses**" means for the applicable periods, the reasonable and necessary expenses of efficiently and economically administering and operating the System and in maintaining it in good repair and operating condition , including without limitation any payments with respect to any franchises held by the Authority, the fees and expenses of the Trustee under the Indenture and any other trustee or escrow trustee under any authorizing resolution, indenture or refunding trust agreement pertaining to the revenue bonds of the Authority, the cost of water purchased or otherwise obtained and supplied by the Authority including without limitation any and all payments required pursuant to any agreements or contracts therefor to which the Authority is a party and any other charges herein expressly stated to constitute an operating expense (but not including depreciation, amortization costs, tax equivalent payments to any governmental body, interest on any securities payable from revenues of the System, payments into any of the special funds created herein or created pursuant to any Supplemental Indenture or any expenses for items properly chargeable by generally accepted accounting principles to fixed capital account).

"**Reserve Fund**" shall mean the fund by that name established under the Indenture.

"**Revenue Fund**" shall mean the fund by that name established under the Indenture.

"**Secured Deposits**" means U.S. Dollar denominated deposit accounts and federal funds fully insured to the holder (up to the $100,000 maximum coverage) by the Federal Deposit Insurance Corporation in commercial banks in the United States of America and maturing no more than 360 days after the date of purchase.

"**Series 2022 Bonds**" collectively refers to the Authority's Water and Sewer Revenue Bonds (Federally Taxable), Series 2022-A, dated January 25, 2022, and its Water and Sewer Revenue Bonds, Series 2022-B, dated January 25, 2022.

"**System**" collectively refers to the water system facilities and sanitary sewer system facilities presently owned and operated by the Authority, together with all additions and improvements hereafter acquired or made thereto, including all plants, systems, buildings, facilities or properties used or useful in or having the present capacity for future use in connection with the production, treatment, supply or distribution of water and any integral part thereof, including, but not limited to, water supply systems, water distribution systems, reservoirs, wells, intakes, mains, laterals, aqueducts, pumping stations, standpipes, filtration plants, purification plants, office and storage facilities, hydrants, meters, valves, and all necessary appurtenances and equipment, and all properties, rights, easements and franchises relating thereto, and all other property, real, personal or mixed, now owned by the Authority or hereafter acquired by it, by construction or otherwise, and used in connection with the aforesaid facilities, less any parts thereof sold or disposed of pursuant to the provisions hereof.

"**Trustee**" refers to The Bank of New York Mellon Trust Company, N.A., or its successors and assigns.

Additional Bonds

The Authority may at any time and from time to time, if no event of default exists under the Indenture, issue additional bonds for any lawful purpose within the limitations of and upon compliance with the provisions of the Indenture.

Among the documents required for the issuance of such Additional Bonds are the item or items required by any of the following paragraphs (1), (2), (3) or (4):

(1) A certificate by an Independent Auditor certifying that the Annual Net Income during the Fiscal Year next preceding the date of issuance of such Additional Bonds then proposed to be issued was not less than 125% of the maximum Annual Net Debt Service Requirement during the then current or any then succeeding Fiscal Year with respect to the Bonds that will be outstanding immediately following the issuance of the then proposed Additional Bonds; or,

(2) A resolution or resolutions adopted and effective after the commencement of the Fiscal Year next preceding the issuance of the then proposed Additional Bonds, and prior to the date of issuance of such Additional Bonds, establishing a revised schedule of rates for water furnished from the System, accompanied by a certificate of an Engineer stating that if the revised schedule of rates set forth in the said resolution or resolutions had been in effect throughout the Fiscal Year next preceding the date of issuance of the Additional Bonds then proposed to be issued, then the Annual Net Income during such Fiscal Year would have been not less than 125% of the maximum Annual Net Debt Service Requirement during the then current or any then succeeding Fiscal Year with respect to the Bonds that will be outstanding immediately following the issuance of the then proposed Additional Bonds; provided, that each such certificate of an Engineer shall be accompanied by and shall recite that it is based, inter alia, upon an examination by the said Engineer of a certificate of an Independent Auditor certifying the amount of the Annual Net Income, as determined above, during the Fiscal Year next preceding the date of issuance of the then proposed Additional Bonds; or

(3) A certificate by an Engineer as to the amount of additional Annual Net Income to be received or Operating Expenses to be saved as a result of the acquisition or construction of proposed Capital Improvements during the Fiscal Year immediately following the estimated date of completion or of acquisition of such Capital Improvements (taking into account not only any increase in revenues and decrease in Operating Expenses as a result of such completion or acquisition but also any increase in water rates and Operating Expenses); provided, that such certificate shall only include the amount of additional Annual Net Income to be received as a result of the acquisition by the Authority of (i) existing facilities or (ii) Capital Improvements undertaken for the purpose of extending or upgrading service to existing or potential customers and on the basis of such certificate, an Independent Auditor certifies that the Annual Net Income during the Fiscal Year next succeeding the completion of the acquisition or construction of such Capital Improvements will be not less than 130% of the maximum Annual Net Debt Service Requirement during the then current or any then succeeding Fiscal Year with respect to the Bonds that will be outstanding immediately following the issuance of the then proposed Additional Bonds; or

(4) If the Additional Bonds are being issued for the purpose of refunding all or a portion of one or more series of Bonds, a certificate by an Independent Auditor stating that the maximum Annual Net Debt Service Requirement immediately after the issuance of such Additional Bonds (excluding debt service on the Bonds to be refunded) will not be greater than the maximum Annual Net Debt Service Requirement immediately prior to the issuance of such Additional Bonds.

Flow of Funds

The Indenture establishes the following funds for the collection and distribution of System revenues:

Revenue Fund. All System revenues will be deposited as received in the Revenue Fund. The Authority will apply money on deposit in the Revenue Fund during each calendar month as follows:

First Deposit in the Bond Fund the amounts required by the Indenture.

Second Deposit in the Reserve Fund the amount required by the Indenture.

Bond Fund. The Authority shall transfer from the Revenue Fund to the Bond Fund each month 1/6 of the interest coming due on the Bonds on the next ensuing interest payment date and 1/12 of the principal maturing or becoming subject to mandatory redemption on the Bonds on the next succeeding principal payment or mandatory redemption date. Money in the Bond Fund is to be applied solely for the payment of the principal of and interest on the Bonds as they respectively mature, become subject to mandatory redemption, and come due.

Reserve Fund. On the date of delivery of the Series 2022 Bonds the Authority will deposit to the Reserve Fund in the form of (i) cash; (ii) a surety bond from Insurer; or (iii) any combination of the foregoing, so that the amount on deposit therein (or the amount covered by the surety bond) shall be equal to the Maximum Reserve Requirement. So long as and at any time the amount in the Reserve Fund is less than the Maximum Reserve Requirement (either in the form of cash or the face amount of reserve fund surety bond from Insurer), the Authority shall immediately transfer each month all moneys remaining in the Revenue Fund to the Reserve Fund (once the Authority's obligations are satisfied with respect to the Operation Fund and Bond Fund) in not more than sixty monthly installments until the balance in the Reserve Fund (either in the form of cash or face amount of a reserve fund surety bond, or any combination of the foregoing) equals the Maximum Reserve Requirement. Money in the Reserve Fund is to be used to pay principal and interest on the Bonds, but only in the event that, at the time of any principal or interest payment date, money then held in the Bond Fund is insufficient for such purpose.

Surplus Revenues. Any revenues remaining in the Revenue Fund on the last business day of each calendar month after making the aforesaid payments into the Bond Fund and the Reserve Fund shall be deemed "surplus revenues". Such surplus revenues shall be released to the Authority and used for any lawful purpose.

Depositories for Special Funds

The Trustee is designated in the Indenture as depository and custodian for the Bond Fund and the Reserve Fund. The depository and custodian for the Revenue Fund and the Operation Fund may be any banking institution designated by the Authority and approved by the Trustee that is qualified to do business in the State of Alabama and which is a member of the Federal Deposit Insurance Corporation.

Investment of Money in Special Funds

Money in the Revenue Fund, the Bond Fund and the Reserve Fund may be invested at the direction of the Authority in Federal Securities and/or Secured Deposits. All income derived from the investment of money on deposit in any such fund shall remain in the fund where earned; provided that so long as the balance in the Reserve Fund is equal to the Maximum Reserve Requirement, any income derived from the investment of the Reserve Fund shall be transferred to the Interest Account of the Bond Fund.

Particular Covenants of the Authority

The Indenture will contain, among others, the following covenants of the Authority:

Maintenance of Books and Records; Annual Audits. The Authority will maintain complete and accurate books and records respecting the operation of the System and will cause such books and records to be audited annually by an independent certified public accountant.

No Free Service. The Authority will not furnish or permit to be furnished by or from the System any free service of any kind except public fire departments. All services furnished from the System will be charged for at the rates at the times established therefor.

Maintenance of Rates. The Authority will make and maintain such rates and charges for the water services supplied by the System as shall be reasonably expected to produce revenues sufficient to pay all Operating Expenses when due and to produce Annual Net Income at least 1.10 times greater than the maximum Annual Net Debt Service Requirement.

Priority of Pledge. The pledge of the revenues made by the Indenture shall be prior and superior to any pledge of revenues hereafter made for the benefit of any securities issued or any contract made by the Authority, other than with respect to any Additional Bonds hereafter issued which shall be on a parity with the Series 2022 Bonds with respect to the pledge by the Authority of the Net System Revenues.

Merger, Consolidation and Transfer of Assets. The Authority shall not consolidate with or merge into any public corporation or transfer the System as an entirety to another public corporation.

Insurance

The Authority will take out and continuously maintain in effect insurance with respect to the System against such risks as are customarily insured against by water systems and fire protection facilities similar in size and character to the System.

Default and Remedies

A default results under the Indenture from (a) the failure by the Authority to pay, when due, the principal of, premium (if any) and interest on any Bond; (b) the failure by the Authority to perform any of its other obligations under the Indenture if, after 30 days' written notice to it of such failure made by the Trustee or by registered owners of more than 50% of bondholders, it has not remedied such default; or (c) the dissolution or liquidation of the Authority, the appointment of a receiver for the Authority, and other similar events specified in the Indenture.

The Indenture provides that the Trustee is empowered (and shall, if more than fifty percent of bondholders instruct (based on percentage ownership)), upon a default, to accelerate the maturity of all of the Bonds then outstanding and to institute legal and equitable proceedings to enforce and protect the rights of the bondholders.

Remedies are vested in the Trustee, not the bondholders, except under limited circumstances stated in the Indenture.

Amendment of the Indenture

The Indenture permits the Authority and the Trustee, without the consent of any bondholder, to enter into supplemental indentures to add further covenants and agreements on the part of the Authority, cure ambiguities, defects or inconsistent provisions, to subject additional security and property to the lien of the Indenture, or to provide for the issuance of Additional Bonds. The Indenture also permits the Authority and the Trustee to enter into supplemental indentures and the registered owners of not less than two-thirds in principal amount of the Bonds then outstanding for any other amendments of the Indenture, except that, without the consent of the registered owner of each Bond affected, the Authority and the Trustee may not enter into any supplemental indenture that has the effect of (a) reducing the principal amount of, rate of interest on, or premium (if any) payable upon the redemption of, any Bond; (b) extending the maturity of any installment of principal or interest on any Bond or making any change in any schedule of mandatory bond redemptions; (c) creating a charge on the trust estate prior to or on a parity with the lien of the Indenture; (d) establishing preferences or priorities between Bonds; or (e) reducing the aggregate principal amount of Bonds the registered owners of which are required to consent to such supplemental indenture.

Defeasance; Satisfaction of Indenture

Whenever the entire indebtedness secured by the Indenture shall have been fully paid, the Trustee shall cancel and discharge the lien of the Indenture and shall execute and deliver to the Authority proper instruments acknowledging satisfaction of and discharging the Indenture. For purposes of the Indenture, any of the Bonds shall be deemed to have been paid when there shall have been irrevocably deposited with the Trustee for payment thereof the entire amount (principal, interest and premium, if any) due or to become due thereon until and at maturity, and further, any of the Bonds shall also be deemed to have been paid when the Authority shall have deposited with the Trustee (i) Federal Securities which are not subject to redemption prior to their respective maturities at the option of the Authority and which, if the principal thereof and the interest thereon are paid to their respective maturities, will produce funds sufficient to provide for payment and retirement of such Bonds, or (ii) both cash and such Federal Securities which together will produce funds sufficient for such purpose, or (iii) cash sufficient for such purpose.

Concerning the Trustee

Conditions to Acceptance of Trust. The Indenture contains broad exculpatory clauses in favor of the Trustee.

Resignation and Removal of Trustee. The Trustee may resign and be discharged from the trusts of the Indenture upon written notice specifying the effective date of such resignation as set forth in the Indenture. The Trustee

may be removed by written instrument signed by the registered owners of a majority in principal amount of the Bonds then outstanding.

Appointment of Successor Trustee. If the Trustee resigns, is removed or becomes otherwise incapable of serving, a successor may be appointed by written instrument signed by the registered owners of a majority in aggregate principal amount of the Bonds then outstanding.

APPENDIX C

Opinions of Bond Counsel

Maynard Cooper & Gale, P.C.
1901 Sixth Avenue North, 17th Floor
Birmingham, Alabama 35203

[Date of Issuance]

South Dallas Water Authority, Inc.
Selma, Alabama

Frazer Lanier Company, Incorporated
Montgomery, Alabama

The Bank of New York Trust Company, N.A., as trustee
Birmingham, Alabama

Build America Mutual Assurance Company
New York, New York

Re: $385,000 aggregate principal amount Water and Sewer Revenue Bonds (Federally Taxable), Series 2022-A, dated January 25, 2022

Ladies and Gentlemen:

We have acted as bond counsel in connection with the issuance of the above-referenced bonds (the "Series 2022-A Bonds") by the South Dallas Water Authority, Inc., a public corporation organized under the laws of the State of Alabama (the "Authority"), and operating under Chapter 88 of Title 11 of the Code of Alabama 1975, as amended (the "Enabling Law"). The Series 2022-A Bonds are issued pursuant to a Trust Indenture dated as of January 25, 2022 (the "Indenture"), between the Authority and The Bank of New York Trust Company, N.A. (the "Trustee") as may be further supplemented and amended.

The Series 2022-A Bonds are being issued for the purposes of: (i) advance refunding on a federally taxable basis the Authority's Subordinated Water Revenue Bond, Series 2014-DWSRF-DL dated as of April 1, 2014 (the "SRF Bond"), issued in the original aggregate principal amount of $490,000, and currently outstanding in the aggregate principal amount of $350,000; and (ii) paying the issuance costs for the Series 2022-A Bonds.

The Series 2022-A Bonds are limited obligations of the Authority payable solely out of the revenues from the Authority's waterworks system and sanitary sewer system (collectively, the "System") remaining after payment of the reasonable and necessary expenses of maintaining and operating the System (the "Net System Revenues"), on a parity of lien with the Authority's Water Revenue Bonds, Series 2022-B, issued simultaneously herewith in the aggregate principal amount of $3,570,000, and any parity bonds which may hereafter be issued pursuant to the terms of the Indenture.

Additional bonds may be issued by the Authority pursuant to the Indenture, secured on a parity of lien with respect to the Net System Revenues with the Series 2022-A Bonds and Series 2022-B Bonds, subject to the terms and conditions set forth in the Indenture. The Series 2022-A Bonds, Series 2022-B Bonds and any such additional bonds are herein collectively referred to as the "Bonds".

We have examined the following: an executed copy of the Indenture, a certification on behalf of the Authority pursuant to the regulations under Section 148 of the Internal Revenue Code of 1986, as amended (the "Code"), relative to arbitrage bonds; an opinion of counsel for the Authority; and such other certificates, proceedings, proofs and documents as we have deemed necessary in connection with the opinions hereinafter set forth. We have not examined the title of the Authority to the System and we therefore express no opinion thereon.

In rendering our opinion, we have relied upon the representations and covenants made in the Indenture and upon certificates of certain public officials and officers of the Authority and the Trustee. Based on the foregoing, and upon such investigation as we have deemed necessary, and in reliance on the aforesaid certificates, and assuming continuing compliance with the covenants in the Indenture we are of the opinion, as of the date hereof and under existing law, that:

(1) The Authority has corporate power and authority to enter into and perform the Indenture and to issue and deliver the Series 2022-A Bonds. The execution, delivery and performance of the Indenture and the issuance and delivery of the Series 2022-A Bonds by the Authority have been duly authorized by all requisite corporate action, and the Series 2022-A Bonds have been duly executed and delivered by the Authority.

(2) The Series 2022-A Bonds constitute legal, valid and binding special obligations of the Authority, which, together with the Series 2022-B Bonds and any Additional Bonds (as defined in the Indenture) hereafter issued in compliance with the terms and conditions prescribed in the Indenture, are payable as to principal, premium (if any) and interest solely out of the Net System Revenues.

(3) The Indenture constitutes the legal, valid and binding obligation of the Authority enforceable against the Authority in accordance with its terms.

(4) The Indenture creates a valid pledge and assignment of the Net System Revenues for the security of the Series 2022-A Bonds on a parity with the Series 2022-B Bonds and any Additional Bonds (as defined in the Indenture) hereafter issued under the Indenture.

(5) Interest on the Series 2022-A Bonds is presently not excludable from gross income for federal income taxation pursuant to Section 103 of the Code, regulations and rulings of the Commissioner of Internal Revenue pertinent thereunder and court decisions heretofore rendered

(6) Interest on the Series 2022-A Bonds is exempt from income taxation by the State of Alabama.

No assurances can be given that state legislation will not be introduced and enacted which could adversely affect the exclusion of interest on the Series 2022-A Bonds from gross income for state income taxation or the tax treatment of certain owners of the Series 2022-A Bonds as a result of the receipt of such interest.

The rights of the registered owners of the Series 2022-A Bonds and the enforceability of the Series 2022-A Bonds and the Indenture are subject to (i) bankruptcy, insolvency or other similar laws affecting the enforcement of creditors' rights and (ii) general principles of equity (regardless of whether such enforceability is considered in a proceeding at equity or at law).

Faithfully yours,

Maynard Cooper & Gale, P.C.
1901 Sixth Avenue North, 17th Floor
Birmingham, Alabama 35203

[Date of Issuance]

South Dallas Water Authority, Inc.
Selma, Alabama

Frazer Lanier Company, Incorporated
Montgomery, Alabama

The Bank of New York Trust Company, N.A., as trustee
Birmingham, Alabama

Build America Mutual Assurance Company
New York, New York

Re: $3,570,000 aggregate principal amount Water and Sewer Revenue Bonds, Series 2022-B, dated January 25, 2022

Ladies and Gentlemen:

We have acted as bond counsel in connection with the issuance of the above-referenced bonds (the "Series 2022-B Bonds") by the South Dallas Water Authority, Inc., a public corporation organized under the laws of the State of Alabama (the "Authority"), and operating under Chapter 88 of Title 11 of the Code of Alabama 1975, as amended (the "Enabling Law"). The Series 2022-B Bonds are issued pursuant to a Trust Indenture dated as of January 25, 2022 (the "Indenture") between the Authority and The Bank of New York Trust Company, N.A. (the "Trustee") as may be further supplemented and amended.

The Series 2022-B Bonds are being issued for the purposes of: (i) currently refunding on a tax-exempt basis the Authority's Series 1989 Bond, issued in the original aggregate principal amount of $3,529,000, and currently outstanding in the aggregate principal amount of $441,000; (ii) currently refunding on a tax-exempt basis the Authority's Series 2009-A Bond dated October 20, 2009, issued in the original aggregate principal amount of $2,610,000, and currently outstanding in the aggregate principal amount of $2,261,000; (iii) currently refunding on a tax-exempt basis the Authority's Series 2009-B Bond dated October 20, 2009, issued in the original aggregate principal amount of $919,000, and currently outstanding in the aggregate principal amount of $779,000; and (iv) paying the issuance costs for the Series 2022-B Bonds.

The Series 2022-B Bonds are limited obligations of the Authority payable solely out of the revenues from the Authority's waterworks system (the "System") remaining after payment of the reasonable and necessary expenses of maintaining and operating the System (the "Net System Revenues"), on a parity of lien with the Authority's Water Revenue Bonds, Series 2022-A, issued simultaneously herewith in the original aggregate principal amount of $385,000 (the "Series 2022-A Bonds"), and any Additional Bonds (as defined in the Indenture) which may hereafter be issued as parity obligations.

Additional bonds may be issued by the Authority pursuant to the Indenture, secured on a parity of lien with respect to the Net System Revenues with the Series 2022-A Bonds and Series 2022-B Bonds, subject to the terms and conditions set forth in the Indenture. The Series 2022-A Bonds, Series 2022-B Bonds, and any such Additional Bonds (as defined in the Indenture) are herein collectively referred to as the "Bonds".

We have examined the following: an executed copy of the Indenture, a certification on behalf of the Authority pursuant to the regulations under Section 148 of the Internal Revenue Code of 1986, as amended (the "Code"), relative

to arbitrage bonds; an opinion of counsel for the Authority; and such other certificates, proceedings, proofs and documents as we have deemed necessary in connection with the opinions hereinafter set forth. We have not examined the title of the Authority to the System and we therefore express no opinion thereon.

In rendering our opinion, we have relied upon the representations and covenants made in the Indenture and upon certificates of certain public officials and officers of the Authority and the Trustee. Based on the foregoing, and upon such investigation as we have deemed necessary, and in reliance on the aforesaid certificates, and assuming continuing compliance with the covenants in the Indenture we are of the opinion, as of the date hereof and under existing law, that:

(1) The Authority has corporate power and authority to enter into and perform the Indenture (including those covenants of the Indenture necessary to assure and to maintain exclusion of the interest on the Series 2022-B Bonds from federal income taxation) and to issue and deliver the Series 2022-B Bonds. The execution, delivery and performance of the Indenture and the issuance and delivery of the Series 2022-B Bonds by the Authority have been duly authorized by all requisite corporate action, and the Series 2022-B Bonds have been duly executed and delivered by the Authority.

(2) The Series 2022-B Bonds constitute legal, valid and binding special obligations of the Authority, which, together with any additional bonds hereafter issued in compliance with the terms and conditions prescribed in the Indenture, are payable as to principal, premium (if any) and interest solely out of the Net System Revenues on a parity of lien with the Series 2022-A Bonds and any Additional Bonds (as defined in the Indenture) hereafter issued under the Indenture.

(3) The Indenture constitutes the legal, valid and binding obligation of the Authority enforceable against the Authority in accordance with its terms.

(4) The Indenture creates a valid pledge and assignment of the Net System Revenues for the security of the Series 2022-B Bonds on a parity with the Series 2022-A Bonds and any Additional Bonds (as defined in the Indenture) hereafter issued under the Indenture.

(5) Interest on the Series 2022-B Bonds is presently excludable from gross income for federal income taxation pursuant to Section 103 of the Code, regulations and rulings of the Commissioner of Internal Revenue pertinent thereunder and court decisions heretofore rendered, and interest on the Series 2022-B Bonds is exempt from income taxation by the State of Alabama.

We express no opinion with respect to the proper treatment of interest on the Series 2022-B Bonds under any other provision of the Code. We call to your attention, however, that interest on a Series 2022 Bond held by a corporation (other than an S corporation, regulated investment company, real estate trust or real estate mortgage investment conduit) may be indirectly subject to the corporate alternative minimum tax because of its inclusion in the reported income or earnings and profits of the corporate holder. Also, interest on Series 2022-B Bonds held by a foreign corporation may be subject to the branch profits tax imposed by the Code. Ownership of the Series 2022-B Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, financial institutions, property and casualty insurance companies, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred (or continued) indebtedness to purchase or carry the Series 2022-B Bonds.

No assurances can be given that federal legislation will not be introduced and enacted which could adversely affect the exclusion of interest on the Series 2022-B Bonds from gross income for federal income taxation or the tax treatment of certain owners of the Series 2022-B Bonds as a result of the receipt of such interest. Neither the Series 2022-B Bonds nor the Indenture contains any provision for an increase in the rates of interest applicable to the Series 2022-B Bonds or for the mandatory redemption of the Series 2022-B Bonds, in the event the interest thereon should become includable in gross income for federal income taxation after their date of issuance.

The Authority has covenanted that the applicable requirements of the Code will be met as long as the Series 2022-B Bonds are outstanding. The exclusion from gross income for federal income tax purposes of the interest on the Series 2022-B Bonds depends on and is subject to the accuracy of the certifications with respect to the applicable

requirements of the Code. A failure to comply with these requirements could cause interest on the Series 2022-B Bonds to be deemed not excludable from gross income for federal income tax purposes as of the date of issuance of the Series 2022-B Bonds or as of some later date.

The rights of the registered owners of the Series 2022-B Bonds and the enforceability of the Series 2022-B Bonds and the Indenture are subject to (i) bankruptcy, insolvency or other similar laws affecting the enforcement of creditors' rights and (ii) general principles of equity (regardless of whether such enforceability is considered in a proceeding at equity or at law).

Faithfully yours,

APPENDIX D

Certain Demographic Information for Dallas County, Alabama

Community Profile

Dallas County, AL 2
Dallas County, AL (01047)
Geography: County

Prepared by Esri

	Dallas County...
Population Summary	
2000 Total Population	46,365
2010 Total Population	43,820
2021 Total Population	40,255
2021 Group Quarters	857
2026 Total Population	38,378
2021-2026 Annual Rate	-0.95%
2021 Total Daytime Population	39,568
Workers	14,537
Residents	25,031
Household Summary	
2000 Households	17,841
2000 Average Household Size	2.57
2010 Households	17,064
2010 Average Household Size	2.52
2021 Households	15,786
2021 Average Household Size	2.50
2026 Households	15,078
2026 Average Household Size	2.49
2021-2026 Annual Rate	-0.91%
2010 Families	11,440
2010 Average Family Size	3.14
2021 Families	10,350
2021 Average Family Size	3.13
2026 Families	9,824
2026 Average Family Size	3.13
2021-2026 Annual Rate	-1.04%
Housing Unit Summary	
2000 Housing Units	20,450
Owner Occupied Housing Units	57.3%
Renter Occupied Housing Units	29.9%
Vacant Housing Units	12.8%
2010 Housing Units	20,208
Owner Occupied Housing Units	52.7%
Renter Occupied Housing Units	31.7%
Vacant Housing Units	15.6%
2021 Housing Units	20,208
Owner Occupied Housing Units	46.9%
Renter Occupied Housing Units	31.2%
Vacant Housing Units	21.9%
2026 Housing Units	20,181
Owner Occupied Housing Units	45.5%
Renter Occupied Housing Units	29.2%
Vacant Housing Units	25.3%
Median Household Income	
2021	$35,144
2026	$38,928
Median Home Value	
2021	$94,890
2026	$108,428
Per Capita Income	
2021	$19,910
2026	$22,358
Median Age	
2010	37.6
2021	39.5
2026	41.1

Data Note: Household population includes persons not residing in group quarters. Average Household Size is the household population divided by total households. Persons in families include the householder and persons related to the householder by birth, marriage, or adoption. Per Capita Income represents the income received by all persons aged 15 years and over divided by the total population.

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

	Dallas County...
2021 Households by Income	
Household Income Base	15,786
<$15,000	21.3%
$15,000 - $24,999	16.1%
$25,000 - $34,999	12.5%
$35,000 - $49,999	12.9%
$50,000 - $74,999	14.9%
$75,000 - $99,999	9.9%
$100,000 - $149,999	8.6%
$150,000 - $199,999	2.8%
$200,000+	1.1%
Average Household Income	$50,662
2026 Households by Income	
Household Income Base	15,078
<$15,000	18.8%
$15,000 - $24,999	15.4%
$25,000 - $34,999	11.8%
$35,000 - $49,999	12.3%
$50,000 - $74,999	15.7%
$75,000 - $99,999	11.2%
$100,000 - $149,999	10.2%
$150,000 - $199,999	3.4%
$200,000+	1.2%
Average Household Income	$56,795
2021 Owner Occupied Housing Units by Value	
Total	9,475
<$50,000	24.1%
$50,000 - $99,999	28.9%
$100,000 - $149,999	14.4%
$150,000 - $199,999	12.0%
$200,000 - $249,999	8.8%
$250,000 - $299,999	4.0%
$300,000 - $399,999	4.7%
$400,000 - $499,999	1.2%
$500,000 - $749,999	0.9%
$750,000 - $999,999	0.4%
$1,000,000 - $1,499,999	0.6%
$1,500,000 - $1,999,999	0.0%
$2,000,000 +	0.0%
Average Home Value	$136,567
2026 Owner Occupied Housing Units by Value	
Total	9,180
<$50,000	21.3%
$50,000 - $99,999	26.2%
$100,000 - $149,999	14.3%
$150,000 - $199,999	13.0%
$200,000 - $249,999	10.0%
$250,000 - $299,999	4.8%
$300,000 - $399,999	6.1%
$400,000 - $499,999	1.6%
$500,000 - $749,999	1.2%
$750,000 - $999,999	0.5%
$1,000,000 - $1,499,999	0.8%
$1,500,000 - $1,999,999	0.0%
$2,000,000 +	0.0%
Average Home Value	$152,249

Data Note: Income represents the preceding year, expressed in current dollars. Household income includes wage and salary earnings, interest dividends, net rents, pensions, SSI and welfare payments, child support, and alimony.
Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

	Dallas County...
2010 Population by Age	
Total	43,820
0 - 4	7.3%
5 - 9	7.1%
10 - 14	7.5%
15 - 24	13.8%
25 - 34	11.4%
35 - 44	11.5%
45 - 54	14.9%
55 - 64	12.6%
65 - 74	8.1%
75 - 84	4.4%
85 +	1.6%
18 +	73.5%
2021 Population by Age	
Total	40,255
0 - 4	6.3%
5 - 9	6.7%
10 - 14	6.7%
15 - 24	11.9%
25 - 34	12.8%
35 - 44	11.5%
45 - 54	11.3%
55 - 64	14.1%
65 - 74	11.2%
75 - 84	5.5%
85 +	1.9%
18 +	76.5%
2026 Population by Age	
Total	38,378
0 - 4	6.2%
5 - 9	6.3%
10 - 14	6.8%
15 - 24	11.9%
25 - 34	11.3%
35 - 44	12.3%
45 - 54	11.4%
55 - 64	12.6%
65 - 74	12.4%
75 - 84	6.8%
85 +	2.2%
18 +	76.7%
2010 Population by Sex	
Males	20,244
Females	23,576
2021 Population by Sex	
Males	18,694
Females	21,561
2026 Population by Sex	
Males	17,867
Females	20,511

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

	Dallas County...
2010 Population by Race/Ethnicity	
Total	43,820
White Alone	29.1%
Black Alone	69.4%
American Indian Alone	0.2%
Asian Alone	0.3%
Pacific Islander Alone	0.0%
Some Other Race Alone	0.2%
Two or More Races	0.7%
Hispanic Origin	0.7%
Diversity Index	44.1
2021 Population by Race/Ethnicity	
Total	40,255
White Alone	27.3%
Black Alone	70.6%
American Indian Alone	0.3%
Asian Alone	0.4%
Pacific Islander Alone	0.0%
Some Other Race Alone	0.3%
Two or More Races	1.1%
Hispanic Origin	1.2%
Diversity Index	44.1
2026 Population by Race/Ethnicity	
Total	38,378
White Alone	26.1%
Black Alone	71.4%
American Indian Alone	0.3%
Asian Alone	0.5%
Pacific Islander Alone	0.0%
Some Other Race Alone	0.4%
Two or More Races	1.3%
Hispanic Origin	1.5%
Diversity Index	43.9
2010 Population by Relationship and Household Type	
Total	43,820
In Households	98.2%
In Family Households	84.0%
Householder	26.1%
Spouse	13.6%
Child	37.1%
Other relative	5.1%
Nonrelative	2.1%
In Nonfamily Households	14.2%
In Group Quarters	1.8%
Institutionalized Population	0.6%
Noninstitutionalized Population	1.2%

Data Note: Persons of Hispanic Origin may be of any race. The Diversity Index measures the probability that two people from the same area will be from different race/ethnic groups.
Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

	Dallas County...
2021 Population 25+ by Educational Attainment	
Total	27,514
Less than 9th Grade	3.7%
9th - 12th Grade, No Diploma	12.7%
High School Graduate	31.9%
GED/Alternative Credential	4.4%
Some College, No Degree	19.4%
Associate Degree	12.1%
Bachelor's Degree	9.2%
Graduate/Professional Degree	6.5%
2021 Population 15+ by Marital Status	
Total	32,288
Never Married	39.9%
Married	41.8%
Widowed	7.7%
Divorced	10.6%
2021 Civilian Population 16+ in Labor Force	
Civilian Population 16+	17,108
Population 16+ Employed	89.5%
Population 16+ Unemployment rate	10.5%
Population 16-24 Employed	11.6%
Population 16-24 Unemployment rate	22.7%
Population 25-54 Employed	62.1%
Population 25-54 Unemployment rate	10.8%
Population 55-64 Employed	17.6%
Population 55-64 Unemployment rate	4.3%
Population 65+ Employed	8.7%
Population 65+ Unemployment rate	0.1%
2021 Employed Population 16+ by Industry	
Total	15,317
Agriculture/Mining	1.7%
Construction	6.0%
Manufacturing	23.3%
Wholesale Trade	1.2%
Retail Trade	10.5%
Transportation/Utilities	6.1%
Information	0.4%
Finance/Insurance/Real Estate	3.5%
Services	40.8%
Public Administration	6.5%
2021 Employed Population 16+ by Occupation	
Total	15,317
White Collar	47.5%
Management/Business/Financial	12.1%
Professional	17.6%
Sales	7.4%
Administrative Support	10.4%
Services	15.8%
Blue Collar	36.7%
Farming/Forestry/Fishing	0.6%
Construction/Extraction	3.7%
Installation/Maintenance/Repair	4.4%
Production	17.0%
Transportation/Material Moving	11.1%

Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

	Dallas County...
2010 Households by Type	
Total	17,064
Households with 1 Person	30.0%
Households with 2+ People	70.0%
Family Households	67.0%
Husband-wife Families	35.0%
With Related Children	14.1%
Other Family (No Spouse Present)	32.1%
Other Family with Male Householder	4.9%
With Related Children	2.3%
Other Family with Female Householder	27.1%
With Related Children	18.7%
Nonfamily Households	3.0%
All Households with Children	35.4%
Multigenerational Households	7.7%
Unmarried Partner Households	5.0%
Male-female	4.5%
Same-sex	0.5%
2010 Households by Size	
Total	17,064
1 Person Household	30.0%
2 Person Household	29.5%
3 Person Household	17.5%
4 Person Household	12.3%
5 Person Household	6.3%
6 Person Household	2.5%
7 + Person Household	1.9%
2010 Households by Tenure and Mortgage Status	
Total	17,064
Owner Occupied	62.4%
Owned with a Mortgage/Loan	33.5%
Owned Free and Clear	29.0%
Renter Occupied	37.6%
2021 Affordability, Mortgage and Wealth	
Housing Affordability Index	226
Percent of Income for Mortgage	11.4%
Wealth Index	43
2010 Housing Units By Urban/ Rural Status	
Total Housing Units	20,208
Housing Units Inside Urbanized Area	0.0%
Housing Units Inside Urbanized Cluster	53.2%
Rural Housing Units	46.8%
2010 Population By Urban/ Rural Status	
Total Population	43,820
Population Inside Urbanized Area	0.0%
Population Inside Urbanized Cluster	54.4%
Rural Population	45.6%

Data Note: Households with children include any households with people under age 18, related or not. Multigenerational households are families with 3 or more parent-child relationships. Unmarried partner households are usually classified as nonfamily households unless there is another member of the household related to the householder. Multigenerational and unmarried partner households are reported only to the tract level. Esri estimated block group data, which is used to estimate polygons or non-standard geography.
Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

	Dallas County...
Top 3 Tapestry Segments	
1.	Rural Bypasses (10E)
2.	Modest Income Homes (12D)
3.	Small Town Simplicity (12C)
2021 Consumer Spending	
Apparel & Services: Total $	$18,478,032
Average Spent	$1,170.53
Spending Potential Index	55
Education: Total $	$12,445,168
Average Spent	$788.37
Spending Potential Index	46
Entertainment/Recreation: Total $	$30,291,652
Average Spent	$1,918.89
Spending Potential Index	59
Food at Home: Total $	$52,735,785
Average Spent	$3,340.67
Spending Potential Index	61
Food Away from Home: Total $	$33,709,422
Average Spent	$2,135.40
Spending Potential Index	56
Health Care: Total $	$62,881,613
Average Spent	$3,983.38
Spending Potential Index	64
HH Furnishings & Equipment: Total $	$20,152,703
Average Spent	$1,276.62
Spending Potential Index	57
Personal Care Products & Services: Total $	$7,753,478
Average Spent	$491.16
Spending Potential Index	55
Shelter: Total $	$159,584,311
Average Spent	$10,109.23
Spending Potential Index	50
Support Payments/Cash Contributions/Gifts in Kind: Total $	$21,831,945
Average Spent	$1,382.99
Spending Potential Index	58
Travel: Total $	$19,708,222
Average Spent	$1,248.46
Spending Potential Index	49
Vehicle Maintenance & Repairs: Total $	$11,114,209
Average Spent	$704.05
Spending Potential Index	64

Data Note: Consumer spending shows the amount spent on a variety of goods and services by households that reside in the area. Expenditures are shown by broad budget categories that are not mutually exclusive. Consumer spending does not equal business revenue. Total and Average Amount Spent Per Household represent annual figures. The Spending Potential Index represents the amount spent in the area relative to a national average of 100.
Source: Consumer Spending data are derived from the 2018 and 2019 Consumer Expenditure Surveys, Bureau of Labor Statistics. Esri.
Source: U.S. Census Bureau, Census 2010 Summary File 1. Esri forecasts for 2021 and 2026 Esri converted Census 2000 data into 2010 geography.

November 15, 2021

©2021 Esri

APPENDIX E

Specimen Municipal Bond Insurance Policy

MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

SPECIMEN

Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

SPECIMEN